This Declaration Page is attached to and forms part of certificate provisions (Form SLC-3 USA NMA2868)

Previous No.	Authority Reference no.	Certificate No.
MBBA-23-00407	FSGFI2400340	MBBA-24-00390

1. Name and address of the Assured

Cardinal Financial Company, Limited Partnership
3530 Toringdon Way, Suite 200
Charlotte, NC 28277

2. Effective from June 30, 2025 to June 30, 2026

both Days at 12:01 a.m. standard time

3. Insurance is effective with Certain Underwriters at Lloyd's Percentage 100%

Led by Lloyd's Syndicate HAM 4000

4. Amount	Rate	Coverage	Premium
	N/A		
As per attached schedule		**Mortgage Bankers Bond**	
		Annual Premium:	$113,566.00
		Terrorism Risk Insurance Act of 2002 Premium:	$0.00
		Policy Administration Charge	$50.00
		TOTAL:	$113,616.00

5. Forms attached hereto and special conditions: As per attached wording

MBB2163-011(03-14)	GNMA Endorsement
MBB2163-012(03-14)	Fannie Mae Notification Endorsement
MBB2163-201(03-14)	General Loss Payee Endorsement
MBB2163-201(03-14)	General Loss Payee Endorsement
MBB2163-201(03-14)	General Loss Payee Endorsement
MBB2163-201(03-14)	General Loss Payee Endorsement
MBB2163-201(03-14)	General Loss Payee Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-287(03-14)	Sub-Limit for Insuring Clause B1
MBB2163-301(08-16)	Computer Manipulation with Social Engineering Fraud Endorsement
MBB2163-302(09-17)	Amendment to Condition M.1.
MBB2163-303(08-17)	Federal Home Loan Mortgage Corporation (Freddie Mac) Notification
MBB2163-304(12-18)	Government National Mortgage Association Notification Endorsement
MBB2163-307(03-25)	Amendment to Policy Language Endorsement
MBB Clauses	Mortgage Bankers Bond Additional Clauses
LMA5390(01-20)	TRIA Endorsement If Not Purchased
MBB2163-272-ALL(07-24)	Participation Endorsement (ALL)

6. Service of Suit may be made upon:

Persons Nominated to accept Service of Suit against Certain Underwriters at Lloyd's London:
Lloyd's America, Inc. Attention: Legal Department 280 Park Avenue, East Tower, 25th Floor New York, NY 10017

Persons Nominated to accept Service of Suit against other Insurance Companies:
John Dearie, Locke Lord LLP Brookfield Place, 200 Vesey Street, 20th Floor New York, NY 10281-2101

7. In the event of a claim, please notify the following : Bankers Insurance Service
200 East Randolph Street
Chicago, IL 60601
Mailing Address: MSC# 17510
P.O. Box 1447, Lincolnshire, IL 60069
bis.claims@bankersinsuranceservice.com

July 16, 2025

BY: ______________________
Correspondent

CERTIFICATE PROVISIONS

1. **Signature Required.** This Certificate shall not be valid unless signed by the Correspondent on the attached Declaration Page.

2. **Correspondent Not Insurer.** The Correspondent is not an Insurer hereunder and neither is nor shall be liable for any loss or claim whatsoever. The Insurers hereunder are those Underwriters at Lloyd's, London and Insurance Companies whose syndicate numbers can be ascertained as hereinbefore set forth. As used in this Certificate "Underwriters" shall be deemed to include incorporated as well as unincorporated persons or entities that are Underwriters at Lloyd's, London and Insurance Companies.

3. **Cancellation.** If this Certificate provides for cancellation and this Certificate is cancelled after the inception date, earned premium must be paid for the time the insurance has been in force.

4. **Service of Suit.** It is agreed that in the event of the failure of Underwriters to pay any amount claimed to be due hereunder, Underwriters, at the request of the Assured, will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of Underwriters' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States. It is further agreed that service of process in such suit may be made upon the firm or person named in item 6 of the attached Declaration Page, and that in any suit instituted against any one of them upon this contract, Underwriters will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

   The above-named are authorized and directed to accept service of process on behalf of Underwriters in any such suit and/or upon request of the Assured to give a written undertaking to the Assured that they will enter a general appearance upon Underwriters' behalf in the event such a suit shall be instituted

   Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, Underwriters hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Assured or any beneficiary hereunder arising out of this contract of insurance, and hereby designate the above-mentioned as the person to whom the said officer is authorized to mail such process or a true copy thereof.

5. **Assignment.** This Certificate shall not be assigned either in whole or in part without the written consent of the Correspondent endorsed hereon.

6. **Attached Conditions Incorporated.** This Certificate is made and accepted subject to all the provisions, conditions and warranties set forth herein, attached or endorsed, all of which are to be considered as incorporated herein.

7. **Short Rate Cancellation.** If the attached provisions provide for cancellation, the table below will be used to calculate the short rate proportion of the premium when applicable under the terms of cancellation.

Short Rate Cancellation Table For Term of One Year.

Days Insurance in Force	Per Cent of one year Premium	Days Insurance in Force	Per Cent of one year Premium	Days Insurance in Force	Per Cent of one year Premium	Days Insurance in Force	Per Cent of one year Premium
1	5%	66 -69	29%	154 - 156	53%	256 - 260	77%
2	6	70 -73	30	157 - 160	54	261 - 264	78
3 -4	7	74 -76	31	161 - 164	55	265 - 269	79
5 -6	8	77 -80	32	165 - 167	56	270 - 273 (9 mos)	80
7 -8	9	81 -83	33	168 - 171	57	274 - 278	81
9 -10	10	84 -87	34	172 - 175	58	279 - 282	82
11 -12	11	88 -91 (3 mos)	35	176 - 178	59	283 - 287	83
13 -14	12	92 -94	36	179 - 182 (6 mos)	60	288 - 291	84
15 -16	13	95 -98	37	183 - 187	61	292 - 296	85
17 -18	14	99 -102	38	188 - 191	62	297 - 301	86
19 -20	15	103 - 105	39	192 - 196	63	302 - 305 (10 mos)	87
21 -22	16	106 - 109	40	197 - 200	64	306 - 310	88
23 -25	17	110 - 113	41	202 - 205	65	311 - 314	89
26 -29	18	114 - 116	42	206 - 209	66	315 - 319	90
30 -32(1 mos)	19	117 - 120	43	210 - 214 (7 mos)	67	320 - 323	91
33 -36	20	121 - 124 (4 mos)	44	215 - 218	68	324 - 328	92
37 -40	21	125 - 127	45	219 - 223	69	329 - 332	93
41 -43	22	128 - 131	46	224 - 228	70	333 - 337 (11 mos)	94
44 -47	23	132 - 135	47	229 - 232	71	338 - 342	95
48 -51	24	136 - 138	48	233 - 237	72	343 - 346	96
52 -54	25	139 - 142	49	238 - 241	73	347 - 351	97
55 -58	26	143 - 146	50	242 - 246 (8 mos)	74	352 - 355	98
59 -62 (2 mos)	27	147 - 149	51	247 - 250	75	356 - 360	99
63 -65	28	150 - 153 (5 mos)	52	251- 255	76	361 - 365 (12 mos)	100

Rules applicable to insurance with terms less than or more than one year:

A. If insurance has been in force for one year or less, apply the short rate table for annual insurance to the full annual premium determined as for insurance written for a term of one year.

B. If insurance has been in force for more than one year:

   1. Determine full annual premium as for insurance written for a term of one year.
   2. Deduct such premium from the full insurance premium, and on the remainder calculate the pro rata earned premium on the basis of the ratio of the length of time beyond one year the insurance has been in force to the length of time beyond one year for which the policy was originally written.
   3. Add premium produced in accordance with items (1) and (2) to obtain earned premium during full period insurance has been in force.

MORTGAGE BANKERS BOND POLICY

Cardinal Financial Company, Limited Partnership

The insurance company with which this coverage has been placed is not licensed by the State of North Carolina and is not subject to its supervision. In the event of the insolvency of the insurance company, losses under this policy will not be paid by any State insurance guaranty or solvency fund.

BANKERS INSURANCE SERVICE

Always A Leader

mortgage banking insurance specialists since 1952

200 E. RANDOLPH STREET • CHICAGO, IL 60601 • MAILING ADDRESS: MSC# 17510 • P.O. BOX 1447, LINCOLNSHIRE, IL 60069
800-323-2743 • FAX 312-381-6195 • WWW.BANKERSINSURANCESERVICE.COM
BANKERS INSURANCE SERVICE IS A DIVISION OF FINANCIAL & PROFESSIONAL RISK SOLUTIONS, INC.
IN CA DBA: FPR INSURANCE SOLUTIONS, INC. LIC #0G83953

Privacy Notice for Insurance Applicants and Policyholders

At Sompo International we are committed to protecting your personal information and respecting the data protection and privacy rights you have under applicable law and regulations.

When you submit any information to us for the purpose of requesting information from us; about, or obtaining, our products or services; or otherwise, including any personal information, we will use the information in our insurance business to conduct our business and perform our legal obligations, including:

(i) verifying your identity;

(ii) preventing, investigating or reporting fraud or potential fraud, money laundering, terrorism, misrepresentation, security incidents, sanctions violations or any crime, all in accordance with applicable law and regulations;

(iii) assessing, establishing and managing claims and arranging or entering into any appropriate settlements;

(iv) managing, reporting and auditing our business operations;

(v) recovering debt;

(vi) developing, improving and protecting our products, services, website, systems and relationships with you;

(vii) carrying out research, risk management and statistical analyses;

(viii) establishing, exercising or defending legal claims; and

(ix) meeting regulatory and compliance requirements.

With your permission, we may also use your contact details (including email address) to send you information about our products and services or other products and services provided by us or one of our group companies.

We may share your information for the purposes outlined above with:

(i) our group companies;

(ii) brokers, other insurers and underwriters;

(iii) healthcare professionals;

(iv) law enforcement authorities;

(v) other government authorities;

(vi) fraud prevention agencies; and

(vii) third parties involved in any aspect of claims management including surveyors, loss adjusters, claims agents, solicitors and private investigators;

(viii) parties that may have a financial interest in the insurance policy or claim;

(ix) other service providers that may process your personal information on our behalf (for example, IT service providers that host or support our business and may have data that includes your personal information); and

(x) others with your consent or in accordance with applicable law and regulations.

If you have provided information about another person, in doing so you confirm that you have such person's consent to provide the personal information to us, that you have told such person that you have provided the information to us and how we will use the personal information as described in this notice.

To the extent you have provided your consent, and your consent provides the basis for our use of the information, you may withdraw your consent at any time by contacting us as described below.

More details about how we use your personal information may be found on our website at www.sompo- intl.com. The website also provides additional information about your data protection rights, how you may access and update your personal information and other choices you have about how we use your personal information (including how to object to processing or withdrawing your consent at any time). If you have any questions regarding this notice, please contact us at:

Attn: Chief Compliance Officer Sompo International
Waterloo House
100 Pitts Bay Road
Pembroke HM08 Bermuda
Email: Privacy@sompo-intl.com

EWIL - COMPLAINTS HANDLING SUMMARY

How to make a complaint

We aim to provide a high and effective standard of service to our policyholders and treat them fairly at all times. If you have a complaint about the service provided to you by Sompo International, please let us know immediately. You can contact us in one of the following ways:

Head of Compliance
2 Minster Court, 1st Floor
Mincing Lane
London
EC3R 7BB

Email: Complaints@sompo-intl.com
Website: http://www.sompo-intl.com/

Remainder of document is for UK Complaints only:
If your complaint can be resolved within three business days:

We will aim to resolve your concerns within three business days, following receipt of your complaint. A written Summary Resolution Communication will be provided to you if the complaint is resolved to your satisfaction.

In the unlikely event that you remain dissatisfied, you may be entitled to refer the matter to the Financial Ombudsman Service, free of charge.

If your complaint cannot be resolved within three business days:

We will send you an acknowledgement letter to explain your complaint has been escalated to the Head of Compliance, who will investigate your complaint and keep you informed throughout the process.

We will investigate your complaint and provide one of the following within 8 weeks of receipt of your complaint:

- A final response letter explaining the outcome of our investigation, the reason for our decision and information on how to steps to take, should you remain dissatisfied; or

- A holding letter confirming when we anticipate we will have concluded our investigation.

Referring to the Financial Ombudsman Service:

Should you remain dissatisfied with the outcome of our investigation or we are unable to conclude our investigation within 8 weeks, you may be able to refer your complaint to the Financial Ombudsman Service (*if eligible), provided you do so within 6 months of the date of the Final Response.

The Financial Ombudsman Service contact details:

Financial Ombudsman Service
Exchange Tower
London
E14 9SR

Email: complaint.info@financialombudsman.org.uk

Telephone: 0800 023 4567 or 0300 123 9123

Website: www.financial-ombudsman.org.uk

*The Financial Ombudsman Service may not be able to consider a complaint if you have not provided us with the opportunity to resolve it first, or if you are:

- a business with more than 10 employees and a group annual turnover of more than €2 million; or
- a trustee of a trust with a net asset value of more than £1 million; or
- a charity with an annual income of more than £1 million.

SCHEDULE

Bond No.: MBBA-24-00390

UMR Number: B1526FSGFI2400340

Item 1:	**Name of Assured:**	Cardinal Financial Company, Limited Partnership
	Principal Address:	3530 Toringdon Way, Suite 200 Charlotte, NC 28277
	Additional Assured(s):	

Item 2: **Bond Period:**

From: 12:01 A.M June 30, 2025
To: 12:01 A.M June 30, 2026

Item 3: **Bond Limits**

Aggregate Limits of Indemnity

The Limits of Indemnity under this Bond for the **Bond Period** set forth in Item 2, subject to Condition F and Item 6, shall be:

[a] under Insuring Clause A1, A2, A3, A4, A5, A6, A7, A8, A9, A10 and B1 for the Bond Period in Item 2, for all Insuring Clauses combined, including court costs and attorneys fees, of $ 20,000,000 in the aggregate, and

[b] under Insuring Clause C1 and C2 for the **Bond Period** in Item 2, for both such Insuring Clauses combined, including court costs and attorneys fees, of $20,000,000 in the aggregate.

These Limits of Indemnity are referred to as the Annual Aggregate Limits of Indemnity.

However, if lesser amounts are inserted against any of the Insuring Clauses or subsections of Insuring Clauses shown in Item 4 below, the liability of the Underwriters in respect of loss or losses, including court costs and attorneys fees, falling within such Insuring Clauses or subsections is limited to such lesser amounts which are also in the aggregate for the **Bond Period** (hereinafter called the “Sub-Limits”) irrespective of the amount shown in either Item 3[a] or 3[b] above for such Insuring Clause. Said Sub-Limits are part of and not in addition to either of the above mentioned Aggregate Limits of Indemnity for the **Bond Period**.

Item 4:

[a] Sub-Limits in the Aggregate for the **Bond Period** applicable to the Aggregate Limit of Indemnity for the **Bond Period** stated in Item 3[a]:

Insuring Clause A1		
Dishonesty	[a]	$20,000,000
	[b]	$20,000,000
	[c]	$2,000,000
Insuring Clause A2		
Premises	[a]	$20,000,000
	[b]	$20,000,000
	[c]	$20,000,000
Insuring Clause A3		
Transit	[a]	$20,000,000
	[b]	$20,000,000
Insuring Clause A4		
Forged Checks		$20,000,000
Insuring Clause A5		
Forged Documents	[a]	$20,000,000
	[b]	$20,000,000
	[c]	$20,000,000
	[d]	$20,000,000
Insuring Clause A6		
Computer Manipulation		$20,000,000
Insuring Clause A7		
Counterfeit Currency		$20,000,000
Insuring Clause A8		
Fraudulent Real Property Mortgages		$2,000,000
Insuring Clause A9		
Claims Expense		$400,000
Insuring Clause A10		
Replacement Expenses		$200,000
Insuring Clause B1		
Theft of Secondary Market Institution's Money or Collateral	[a]	$20,000,000
Theft of Warehouse Lenders Money or Collateral	[b]	$20,000,000

Item 5:

[a] Deductibles Each and Every Loss:

Insuring Clause A1		
Dishonesty	[a]	$50,000
	[b]	$50,000
	[c]	$50,000
Insuring Clause A2		
Premises	[a]	$50,000
	[b]	$50,000
	[c]	$50,000
Insuring Clause A3		
Transit	[a]	$50,000
	[b]	$50,000
Insuring Clause A4		
Forged Checks		$50,000
Insuring Clause A5		
Forged Documents	[a]	$50,000
	[b]	$50,000
	[c]	$50,000
	[d]	$50,000
Insuring Clause A6		
Computer Manipulation		$50,000
Insuring Clause A7		
Counterfeit Currency		$50,000
Insuring Clause A8		
Fraudulent Real Property Mortgages		$50,000
Insuring Clause A9		
Claims Expense		$NONE
Insuring Clause A10		
Replacement Expenses		$2,500
Insuring Clause B1		
Theft of Secondary Market Institution's Money or Collateral	[a]	$50,000
Theft of Warehouse Lenders Money or Collateral	[b]	$50,000

[b] Sub-Limits in the Aggregate for the **Bond Period** applicable to the Aggregate Limit of Indemnity for the **Bond Period** stated in Item 3[b]:

Insuring Clause C1

Assured Mortgagee Interest	[a]		$20,000,000
Failure to Obtain or Maintain Insurance/Flood Determination – Liability To Investor	[b]	[i]	$20,000,000
		[ii]	$20,000,000
Failure to Obtain or Maintain Insurance/Flood Determination – Liability To Mortgagor	[c]	[i]	$20,000,000
		[ii]	$20,000,000
Liability to Investor	[d]	[i]	$20,000,000
		[ii],[iii]	$20,000,000
		[iv]	$20,000,000
		[v],[vi]	$20,000,000
		[vii]	$20,000,000
Real Estate Taxes	[e]	[i]	$20,000,000
		[ii]	$20,000,000
		[III]	$20,000,000
Record. E&O	[f]		$20,000,000
Loan Payoff	[g]		$1,000,000

Insuring Clause C2

Extended Errors & Omissions	[a]	[i]	$NIL
		[ii]	$NIL
Mortgage Impairment	[b]		$NIL

[b] Deductibles Each and Every Loss:

Insuring Clause C1

Assured Mortgagee Interest	[a]		$50,000
Failure to Obtain or Maintain Insurance/Flood Determination – Liability To Investor	[b]	[i]	$50,000
		[ii]	$50,000
Failure to Obtain or Maintain Insurance/Flood Determination – Liability To Mortgagor	[c]	[i]	$50,000
		[ii]	$50,000
Liability to Investor	[d]	[i]	$50,000
		[ii],[iii]	$50,000
		[iv]	$50,000
		[v],[vi]	$50,000
		[vii]	$50,000
Real Estate Taxes	[e]	[i]	$5,000
		[ii]	$5,000
		[III]	$5,000
Record. E&O	[f]		$2,500
Loan Payoff	[g]		$50,000

Insuring Clause C2

Extended Errors & Omissions	[a]	[i]	$N/A
		[ii]	$N/A
Mortgage Impairment	[b]		$N/A

Insuring Clause C2[b] is only applicable to:

N/A

ITEM 6: **Single Loss Limits of Indemnity:**

[a] Underwriters total liability for any **Single Loss** covered under Insuring Clauses A1, A2, A3, A4, A5, A6, A7, A8, A9, A10 and B1 shall not exceed the amount set forth in Item 3[a] or any applicable Sub-Limit set forth in Item 4[a], whichever is lesser.

[b] Underwriters total liability for any **Single Loss** covered under Insuring Clauses C1 and C2 shall not exceed the amount set forth in Item 3[b] or any applicable Sub-Limit set forth in Item 4[b], whichever is lesser.

ITEM 7: **Discovery Option Period Premium:**

The premium for an additional period not to exceed twelve (12) months under Condition “O” of the Bond is calculated at one hundred percent (100%) of the full annual expiring premium.

ITEM 8: **Notice of Claim:**

All notice(s) of claim to the Underwriters shall be made to:

Financial & Professional Risk Solutions, Inc.
Bankers Insurance Service division
200 E. Randolph Street, 10th Floor
Chicago, Illinois 60601
Mailing Address: MSC# 17510 | P.O. Box 1447, Lincolnshire, IL 60069
bis.claims@bankersinsuranceservice.com

ITEM 9: **Service of Suit Against Underwriters:**

Persons nominated to accept Service of Suit Against Underwriters:

Persons Nominated to accept Service of Suit against Certain Underwriters at Lloyd's London:
Lloyd's America, Inc. Attention: Legal Department 280 Park Avenue, East Tower, 25th Floor New York, NY 10017

Persons Nominated to accept Service of Suit against other Insurance Companies:
John Dearie, Locke Lord LLP Brookfield Place, 200 Vesey Street, 20th Floor New York, NY 10281-2101

ITEM 10: Complaints Procedure: Should you wish to make a complaint against Bankers Insurance Service, you may do so either in writing or verbally to the Compliance Officer: Attn: Tom Delaney 200 East Randolph Street Chicago, IL 60601. Mailing Address: MSC# 17510 | P.O. Box 1447, Lincolnshire, IL 60069. (312) 381-3722

ITEM 11: **Endorsements:**

This Bond is subject to the terms of the following endorsements attached hereto at the effective date of this Bond.

[Mortgage Bankers Bond 09/2017 Edition]

MBB2163-011(03-14)	GNMA Endorsement
MBB2163-012(03-14)	Fannie Mae Notification Endorsement
MBB2163-201(03-14)	General Loss Payee Endorsement
MBB2163-201(03-14)	General Loss Payee Endorsement
MBB2163-201(03-14)	General Loss Payee Endorsement
MBB2163-201(03-14)	General Loss Payee Endorsement
MBB2163-201(03-14)	General Loss Payee Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-278(03-14)	Specific Warehouse Lender Loss Payee/Right of Action Endorsement
MBB2163-287(03-14)	Sub-Limit for Insuring Clause B1
MBB2163-301(08-16)	Computer Manipulation with Social Engineering Fraud Endorsement
MBB2163-302(09-17)	Amendment to Condition M.1.
MBB2163-303(08-17)	Federal Home Loan Mortgage Corporation (Freddie Mac) Notification
MBB2163-304(12-18)	Government National Mortgage Association Notification Endorsement

MBB2163-307(03-25)	Amendment to Policy Language Endorsement
MBB Clauses	Mortgage Bankers Bond Additional Clauses
LMA5390(01-20)	TRIA Endorsement If Not Purchased
MBB2163-272-ALL(07-24)	Participation Endorsement (ALL)

And to all other endorsements attached hereto after the effective date of this Bond.

Item 12:	Premium	$113,566.00
	Terrorism Risk Insurance Act of 2002 Premium	$0.00
	Policy Administration Charge	$50.00
	Total:	$113,616.00

POLICY

THE MORTGAGE BANKERS BOND

BANKERS
INSURANCE SERVICE
Always A Leader

mortgage banking insurance specialists since 1952

200 E. RANDOLPH STREET • CHICAGO, IL 60601• MAILING ADDRESS: MSC# 17510 • P.O. BOX 1447, LINCOLNSHIRE, IL 60069
800-323-2743 • FAX 312-381-6195 • WWW.BANKERSINSURANCESERVICE.COM
BANKERS INSURANCE SERVICE IS A DIVISION OF FINANCIAL & PROFESSIONAL RISK SOLUTIONS, INC.
IN CALIFORNIA FINANCIAL & PROFESSIONAL RISK SOLUTIONS INSURANCE AGENCY, INC. (LICENSE NO. OB93670)

TABLE OF CONTENTS

INSURING CLAUSES

The Underwriters hereby undertake and agree, subject to the terms, definitions, exclusions, limitations, conditions and endorsements of this Bond, to indemnify the **Assured** for loss to the **Assured**; in the manner and to the extent described herein.

SECTION A
FIDELITY/CRIME

DISHONESTY

INSURING CLAUSE A1

Direct financial loss sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by

[a] **Theft** of **Money**, **Securities** and other **Property** by any **Employee** of the Assured, whether committed alone or in collusion with others, or

[b] any other dishonest or fraudulent acts by any Employee of the **Assured**, whether committed alone or in collusion with others, committed by said **Employee** with the manifest intent to obtain **Improper Personal Financial Gain** for said **Employee**, or for any other person or entity intended by the Employee to receive such **Improper Personal Financial Gain**, or

[c] dishonest or fraudulent acts by an **Attorney** or **Loan Closing Agent**, whether committed alone or in collusion with others, while said **Attorney**, or **Loan Closing Agent**, is in the course of performing loan services in connection with a **Real Estate Loan** originated by or acquired by the **Assured** and which dishonest or fraudulent acts were committed by said **Attorney**, or **Loan Closing Agent**, with the manifest intent to obtain and which resulted in the receipt of **Improper Personal Financial Gain** for said **Attorney**, or **Loan Closing Agent**.

PREMISES

INSURING CLAUSE A2

[a] Loss of **Property** or original **Real Estate Documents** or original **Closing Documents** sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by

[i] burglary, robbery, hold-up or larceny committed by persons present on the **Premises**, or

[ii] mysterious unexplainable disappearance, or

[iii] being damaged, destroyed or misplaced howsoever or by whomsoever caused,

while such **Property** or original **Real Estate Documents** or original **Closing Documents** is or are upon **Premises**.

[b] Loss or damage sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period**

[i] to all furnishings, fixtures, equipment, stationery, supplies or safes and vaults within any office of the **Assured** by reason of and directly caused by burglary, robbery, hold-up or larceny, or any attempt thereat, or by vandalism or malicious mischief, or

[ii] to any office of the **Assured** by reason of and directly caused by burglary, robbery, hold-up or larceny, or any attempt thereat, or to the interior of any such office by vandalism or malicious mischief,

provided that the **Assured** is the owner of such office, furnishings, fixtures, equipment, stationery, supplies or safes and vaults or is liable for such loss or damage.

All loss or damage caused by fire is excluded under paragraph [b].

[c] Loss of original **Real Estate Documents** or original **Closing Documents** belonging to others sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period**, while the **Assured** is acting as document custodian for said documents by reason of and directly caused by fire.

TRANSIT

INSURING CLAUSE A3

[a] Loss of **Property** or original **Real Estate Documents** or original **Closing Documents** sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by such **Property** or original **Real Estate Documents** or original **Closing Documents** being lost, damaged, destroyed, stolen, mislaid, misplaced, misappropriated, or made away with, or having mysteriously disappeared, while in transit anywhere in the custody of any person or persons acting as messenger, except while in the mail or with a carrier for hire other than an armored motor vehicle company, such transit to begin immediately upon receipt of such **Property** or original **Real Estate Documents** or original **Closing Documents** by the transporting person or persons from the **Assured** or the **Document Custodian** and to end immediately upon delivery to the designated recipient or its agent.

[b] Loss of original **Real Estate Documents** or original **Closing Documents** sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by such original **Real Estate Documents** or original **Closing Documents** being lost, damaged, destroyed, stolen, mislaid, misplaced, misappropriated or made away with, or having mysteriously disappeared, while in transit anywhere when in the custody of a carrier for hire including U.S. Postal Express Mail Next Day Service but excluding an armored motor vehicle company or the mail, such transit to begin immediately upon receipt of the original **Real Estate Documents** or original **Closing Documents** by the transporting person or persons from the **Assured**, or the **Document Custodian** and to end immediately upon delivery to the designated recipient or its agent.

FORGED CHECKS

INSURING CLAUSE A4

Direct financial loss sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by a **Forged Signature** on or **Fraudulent Alteration** of any check, draft, promissory note or withdrawal order, made or drawn by or drawn upon the **Assured** or made or drawn by one acting as agent of the **Assured** or purporting to have been made or drawn as set forth above, including

[a] any check or draft made or drawn in the name of the **Assured** payable to a fictitious payee and endorsed in the name of the fictitious payee, or

[b] any check or draft procured in a face to face transaction with the **Assured** or with one acting as agent of the **Assured** by anyone impersonating another and made or drawn payable to the one impersonated and endorsed by anyone other than the one impersonated, or

[c] any payroll check, payroll draft or payroll order made or drawn by the **Assured** payable to a named payee and endorsed by anyone other than the named payee without authority of the payee.

For purposes of this Insuring Clause mechanically reproduced facsimile signatures shall be treated the same as handwritten signatures.

If, at the **Assured**'s request, the Underwriters waive any rights they may have against the financial institution upon which the instrument was drawn, the **Assured** and the financial institution shall assign to the Underwriters all of their rights against any other person, firm or corporation.

FORGED DOCUMENTS

INSURING CLAUSE A5

Direct financial loss sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by

[a] the **Assured** having relied upon a **Forged Signature** on or **Fraudulent Alteration** of any **Closing Documents** received by the **Assured** in connection with a **Real Estate Loan**

[i] originated by the **Assured**, or

[ii] originated by a person other than the **Assured** and purchased by the **Assured**, or

[iii] prepared, directly funded and closed by a person other than the **Assured** in the name of the **Assured**,

which Real Estate Loan is held by the **Assured** for its own account; or

[b] the **Assured** being legally liable to repurchase a **Real Estate Loan** from an **Investor** or indemnify an **Investor** as the direct result of a **Forged Signature** on or **Fraudulent Alteration** of

[i] any **Real Estate Documents** received by the **Assured** in connection with a **Real Estate Loan** originated by the **Assured**, or

[ii] any **Closing Documents** received by the **Assured** in connection with a **Real Estate Loan** originated by a person other than the **Assured** and purchased by the **Assured** or prepared, directly funded and closed by a person other than the **Assured** in the name of the **Assured**; or

[c] the **Assured** having, in good faith, for its own account or for the account of others, acquired, sold or delivered, or given value, extended credit or assumed liability, on the faith of, any **Certificated Security;** Document of Title, deed, mortgage or other instrument conveying the title to, or creating or discharging a lien upon, real property, **Evidence of Debt; Certificate of Origin or Title**; corporate, partnership or personal **Guarantee;** or **Security Agreement** which

[i] bears a **Forged Signature** of any maker, drawer, issuer, endorser, assignor, lessee, transfer agent, registrar, acceptor, surety, guarantor, or of any person signing in any other capacity, or

[ii] bears a **Fraudulent Alteration**; or

[iii] is lost or stolen; or

[d] the **Assured** having acquired, sold or delivered, or given value, extended credit or assumed liability on the faith of any item listed in [a] and [c] above which is a **Counterfeit**.

For purposes of this Insuring Clause mechanically reproduced facsimile signatures shall be treated the same as handwritten signatures.

Special Condition:

It is agreed that as a condition precedent to coverage under this Insuring Clause that the **Assured** made or purchased the **Real Estate Loan** and acquired the items listed in [a] or [b] above in good faith and in the ordinary course of its business and that there was actual possession of the said items by the person closing the **Real Estate Loan** at the time of the closing and by the **Assured** at the time of the acquisition of said **Real Estate Loan**. With respect to the items listed in [c][i] and [c][ii] above actual possession of said items by the **Assured** at the time it acts upon said items is a condition precedent to recovery under the Policy.

COMPUTER MANIPULATION

INSURING CLAUSE A6

Direct financial loss sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by **Computer Manipulation** which was committed by any person acting alone or in collusion with others.

COUNTERFEIT CURRENCY

INSURING CLAUSE A7

Direct financial loss sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by the receipt by the **Assured**, in good faith, in the ordinary course of the **Assured**'s business, of any counterfeit currency of the United States of America, Canada or of any other country in which the **Assured** maintains a branch office.

FRAUDULENT REAL PROPERTY MORTGAGES

INSURING CLAUSE A8

Direct financial loss sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by the **Assured**'s having, in good faith and in the ordinary course of the **Assured**'s mortgage banking business in connection with any **Real Estate Loan**, accepted or received or acted upon the faith of any real property mortgages, real property deeds of trust or like instruments pertaining to realty or assignments of such mortgages, deeds of trust or instruments which prove to have been defective by reason of the signature thereon of any person having been obtained through trick, artifice, fraud or false pretenses or the signature on the recorded deed conveying such real property to the mortgagor or grantor of such mortgage or deed of trust having been obtained by or on behalf of such mortgagor or grantor through trick, artifice, fraud or false pretenses.

CLAIMS EXPENSE

INSURING CLAUSE A9

Reasonable expenses incurred by the **Assured** by reason of the **Assured** having retained, with the prior approval of the Underwriters, independent outside accountants or other non-legal experts to determine the amount and extent of loss covered and paid under Section A of this Bond.

The Underwriters shall not be liable to reimburse the **Assured** for said expenses until payment for the covered loss is made.

REPLACEMENT EXPENSES

INSURING CLAUSE A10

Reasonable expenses not to exceed $2,500 per mortgage loan necessarily incurred by the **Assured** to replace any original **Real Estate Documents** or original **Closing Documents** arising out of a loss covered under either Insuring Clauses A2 or A3, or arising out of a loss which would have been covered under said Insuring Clauses but for the fact that the amount of the loss is within the Deductible applicable to the respective Insuring Clause.

SECTION B
PARTNER, SOLE PROPRIETOR, MAJOR SHAREHOLDER, DIRECTOR, LOAN CLOSING AGENT, ATTORNEY OR EMPLOYEE COVERAGE

THEFT OF MONEY OR COLLATERAL

INSURING CLAUSE B1

[a] Theft of Secondary Market Institution's Money or Collateral

Loss by reason of any claim first made against the **Assured** during the **Bond Period** by any **Secondary Market Institution** for the direct financial loss sustained by such **Secondary Market Institution** as the direct result of **Theft** by any partner, **Sole Proprietor**, **Major Shareholder**, director, **Loan Closing Agent**, **Attorney**, or **Employee** of the **Assured**, whether committed alone or in collusion with others of

[i] **Money** deposited or actually received by the **Assured** and required to be deposited in a **Custodial Account** maintained for the **Secondary Market** Institution by the **Assured** which **Money**

[a] was deposited with or paid to the **Assured** by said **Secondary Market Institution** for the purpose of purchasing a **Real Estate Loan** for said **Secondary Market Institution**, or

[b] was collected or received by the **Assured** for said **Secondary Market Institution** in connection with a **Real Estate Loan** which the **Assured** is servicing for said **Secondary Market Institution**, or

[ii] **Collateral** held by the **Assured** for

[a] a **Secondary Market Institution** in connection with a **Real Estate Loan** but which **Collateral** has been fraudulently pledged or sold to another person(s) or entity(ies), or

[b] another person(s) or entity(ies) in connection with a **Real Estate Loan** but which **Collateral** has been fraudulently pledged or sold to a **Secondary Market Institution**

provided, however, that the **Assured** is held to be legally liable to said **Secondary Market Institution** for the loss of such **Money** or **Collatera**l.

__**Special Conditions:**__

It is agreed that as a condition precedent to coverage under this Insuring Clause B1[a] that

[a] the **Secondary Market Institution** shall require an annual audit by way of the Uniform Single Attestation Program for Mortgage Bankers or otherwise of the **Custodial Account** by a firm of independent outside accountants and such **Secondary Market Institution** shall verify that said audit has been conducted, and

[b] the **Secondary Market Institution** shall require that at the earliest practicable moment the **Assured** deliver the note and an executed and recordable assignment of the mortgage by the current record holder thereof to either the **Secondary Market Institution** or a **Document Custodian** approved and designated by the **Secondary Market Institution** (which **Document Custodian** may be the **Assured** if the **Assured** meets the Secondary Market Institution's requirements for lenders permitted to hold notes on behalf of the **Secondary Market Institution**) or the **Assured** identifies said note as a note in which the **Secondary Market Institution** has an interest, and

[c] the **Secondary Market Institution** shall have maintained its customary quality control procedures with respect to the **Assured**.

Failure of the **Assured** to comply with these requirements [a], [b] and [c] by a **Secondary Market Institution** shall not void the coverage under this Insuring Clause B1[a] provided that the **Secondary Market Institution** has used its best efforts to verify that the **Assured** is complying with said requirements.

[b] Theft of Warehouse Lender's Money or Collateral

Loss by reason of any claim first made against the **Assured** during the **Bond Period** by a **Warehouse Lender** for the direct financial loss sustained by said **Warehouse Lender** as the direct result of **Theft** by any partner, **Sole Proprietor**, **Major Shareholder**, director**, Loan Closing Agent, Attorney**, or **Employee** of the **Assured**, whether committed alone or in collusion with others, of

[i] **Money** deposited or actually received by the **Assured** and required to be deposited or paid in accordance with the **Warehouse Lender's** written requirements, which **Money**

[a] was deposited with or paid to the **Assured** by said **Warehouse Lender** for the purpose of purchasing a **Real Estate Loan** in which the **Assured** had an interest, or

[b] was collected and received by the **Assured** on behalf of a **Warehouse Lender** in connection with a **Real Estate Loan** in which the **Assured** had an interest, or

[ii] **Collateral** held for a **Warehouse Lender** by the **Assured** exclusively in connection with a **Real Estate Loan**,

provided, however, that the **Assured** is held legally liable to said **Warehouse Lender** for the **Theft** of such **Money** or **Collateral**.

__**Special Conditions:**__

It is agreed that as a condition precedent to coverage under this Insuring Clause B1[b] that

[a] the **Warehouse Lender** shall verify with the **Assured** the date set for the closing of the **Real Estate Loan** and shall require within ten (10) days of the closing of the **Real Estate Loan** a confirmation that the closing has been completed, and

[b] the **Warehouse Lender** shall require that at the earliest practicable moment the **Assured** deliver the **Collateral** to either the **Warehouse Lender** or a document custodian approved and designated by the Warehouse Lender (which document custodian may be the **Assured**) or the **Assured** has identified said **Collateral** as **Collateral** in which the **Warehouse Lender** has an interest, and

[c] the **Warehouse Lender** shall have maintained its customary quality control procedures with respect to the **Assured** as well as any examination and/or audit procedures.

Failure of the **Assured** to comply with requirements [a], [b] and [c] shall not void the coverage under this Insuring Clause B1[b] provided that the **Warehouse Lender** has used its best efforts to verify that the **Assured** is complying with said requirements.

SPECIFIED ERRORS AND OMISSIONS

INSURING CLAUSE C1

[a] Assured's Mortgage Interest

Loss to the **Assured**'s **Mortgage Interest** in real property, which loss is discovered by the **Assured** during the **Bond Period**, provided that such loss is a direct result of an error or accidental omission on the part of the **Assured** or its **Designated Agent** in failing to obtain or maintain

[i] fire and extended coverage insurance, or

[ii] **Homeowner's Insurance**, or

[iii] mortgage redemption life insurance, accident and health insurance, or accidental death and dismemberment insurance, or

[iv] flood insurance covering real property located in special flood hazard areas (where flood insurance has been made available under the provisions of the National Flood Insurance Reform Act of 1994 and any amendments thereto)

if, by reason of such error or accidental omission, at the time of the loss there is no such insurance in force or such insurance in force is inadequate as to amount or such insurance in force fails to contain a mortgagee clause.

Mortgage Interest is further extended to include ownership interest in real property obtained through foreclosure or by receipt of deed in lieu of foreclosure but only for Insuring Clause C1[a][i], C1[a][ii] and C1[a][iv]. The **Assured**'s ownership interest in foreclosed property shall in no event exceed the mortgage balance due on the date title passes to the **Assured.**

Special Condition:

It is agreed that the loss to **Assured**'s **Mortgage Interest** covered under Insuring Agreement C1[a] of this Bond shall be the least of:

[a] the amount of the actual direct physical damage to the mortgaged property; or

[b] the amount of the **Assured**'s outstanding mortgage balance; or

[c] the actual market value of the structures built upon the mortgaged property at the time of the loss; or

[d] the amount the **Assured** would have recovered under the policy that would have been in effect had the error or accidental omission not occurred.

[b] Failure to Obtain or Maintain Insurance / Flood Determination – Liability to Investor

Loss sustained by the **Assured** by reason of any claim first made against the **Assured** during the **Bond Period** for an error or accidental omission on the part of the **Assured**, or its **Designated Agent**, while the **Assured** is acting as a mortgagee or while it is originating or servicing a mortgage and for which loss the **Assured** is legally liable to an **Investor** in failing

[i] to obtain or maintain

[a] fire and extended coverage insurance, or

[b] **Homeowner's Insurance**, or

[c] mortgage redemption life insurance, accident and health insurance, or accidental death and dismemberment insurance, or

[d] flood insurance covering property located in special flood hazard areas (where flood insurance has been made available under the provisions of the National Flood Insurance Reform Act of 1994 or any amendments thereto)

if, by reason of such error or accidental omission, at the time of the loss there is no such insurance in force or such insurance in force is inadequate as to amount or such insurance in force fails to contain a mortgagee clause, or

[ii] to make the determination as to whether a property is located in a special flood hazard area within the provisions of the National Flood Insurance Reform Act of 1994 or any amendments thereto.

[c] Failure to Obtain or Maintain Insurance / Flood Determination – Liability to Mortgagor

Loss sustained by the **Assured** by reason of any claim first made against the **Assured** during the **Bond Period** for an error or accidental omission on the part of the **Assured**, or its **Designated Agent**, while the **Assured** is acting as a mortgagee or while it is originating or servicing a mortgage and for which loss the **Assured** is legally liable to the mortgagor in failing

[i] to obtain or maintain

[a] fire and extended coverage insurance, or

[b] **Homeowner's Insurance**, or

[c] mortgage redemption life insurance, accident and health insurance, or accidental death and dismemberment insurance, or

[d] flood insurance covering property located in special flood hazard areas (where flood insurance has been made available under the provisions of the National Flood Insurance Reform Act of 1994 or any amendments thereto)

if, by reason of such error or accidental omission, at the time of the loss there is no such insurance in force or such insurance in force is inadequate as to amount or such insurance in force fails to contain a mortgagee clause, or

[ii] to make the determination as to whether a property is located in a special flood hazard area within the provisions of the National Flood Insurance Reform Act of 1994 or any amendments thereto.

[d] Liability to Investor

Loss sustained by the **Assured** by reason of any claim first made against the **Assured** during the **Bond Period** for an error or accidental omission on the part of the **Assured** or its **Designated Agent**, for which loss the **Assured** is legally liable to the Investor in failing to

[i] notify the Federal Housing Administration, the Department of Veterans Affairs, the USDA Rural Development, or the U.S. Department of Housing and Urban Development Office of Public and Indian Housing, of the **Assured**'s inability to obtain fire insurance, or

[ii] notify the Federal Housing Administration, Department of Veterans Affairs, the USDA Rural Development, or the U.S. Department of Housing and Urban Development Office of Public and Indian Housing, within the prescribed notice period, that mortgage payments are in arrears or to follow or carry out instructions by either agency in connection with the liquidation of a loan by means of foreclosure, or

[iii] notify any applicable private mortgage insurance company, within the notice period required by such company, that mortgage payments are in arrears or to follow or carry out private mortgage insurance company instructions in connection with the liquidation of a loan by means of foreclosure

if, by reason of such error or accidental omission with regard to [i], [ii] and [iii] above, insurance from the Federal Housing Administration or a private mortgage insurance company or a guarantee from the Department of Veterans Affairs, the USDA Rural Development, or the U.S. Department of Housing and Urban Development Office of Public and Indian Housing is voided or rendered invalid, or

[iv] obtain insurance on a residential or multi-family property loan from the Federal Housing Administration or maintain premium payments thereupon, or

[v] obtain insurance on a residential property loan from a private mortgage insurance company or maintain premium payments thereupon, or

[vi] obtain a guarantee on a residential property loan from the Department of Veterans Affairs, USDA Rural Development ("RD"), or the U.S. Department of Housing and Urban Development Office of Public and Indian Housing ("PIH"), or

[vii] make the determination as to whether a property is located in a special flood hazard area within the provisions of the National Flood Insurance Reform Act of 1994 or any amendments thereto.

[e] Real Estate Taxes

Loss sustained by the **Assured** by reason of any claim first made against the **Assured** during the **Bond Period** for

[i] payment of interest, fines or penalties imposed by any county, municipal, or district tax authority, or

[ii] cost of redemption in the event of a tax sale excluding, however, the tax which was due and owing,

as a direct result of an error or accidental omission on the part of the **Assured** or its **Designated Agent** and for which loss the **Assured** is legally liable in failing to pay real estate taxes or special assessment taxes on mortgaged real property;

[iii] failure to verify that payment had been made by a mortgagor of real estate taxes or special assessment taxes on mortgaged real property including the tax which was due and owing,

as a direct result of an error or accidental omission on the part of the **Assured** or its **Designated Agent** and for which loss the **Assured** is legally liable in failing to verify that payment of taxes had been made by a mortgagor.

[f] Recordation

Loss sustained by the **Assured** by reason of any claim first made against the **Assured** during the **Bond Period** for an error or accidental omission on the part of the **Assured** or its **Designated Agent** in the recordation of documents affecting an interest in a mortgage loan or in real property offered as security for a mortgage loan while the **Assured** is acting as a trustee, seller, or servicer of said mortgage loans and for which loss the **Assured** is legally liable.

[g] Loan Payoff

Loss sustained by the **Assured** by reason of any claim first made against the **Assured** during the **Bond Period** for an error or accidental omission on the part of the Assured and for which loss the **Assured** is legally liable in failing to obtain payment in full of the indebtedness securing a **Real Estate Loan** prior to the release by the **Assured** of the mortgage, note, trust deed or other similar instrument placed as collateral for such **Real Estate Loan**.

EXTENDED ERRORS AND OMISSIONS

INSURING CLAUSE C2

[a] Loss sustained by the **Assured** by reason of any claim first made against the **Assured** during the **Bond Period** by an **Investor** for which the **Assured** is legally liable as a direct result of

[i] an error or accidental omission on the part of the **Assured** or its **Designated Agent** in failing to obtain or maintain insurance required by the mortgagee under the terms of the mortgage, seller/servicer manual, loan servicing agreement or letter of commitment; or

[ii] a failure by the **Assured** or its **Designated Agent** to determine that a certificate or other evidence of insurance has been maintained for fire and extended coverage insurance, flood insurance or comprehensive general liability for a cooperative or a planned unit development homeowner's association common area or condominium owner's association master policy provided, however, that said insurance was required by the **Investor** and the **Assured** has established procedures which provide a means to respond to notice of cancellation or non-renewal of said insurance.

[b] Loss to the **Assured**'s **Mortgage Interest** in real property, together with unpaid charges accruing after the date of the direct physical damage up to the date of settlement, including when acting as a mortgage servicing agent or the **Assured**'s **Mortgage Interest** in a legal fiduciary capacity, which loss is discovered by the **Assured** during the **Bond Period** by reason of direct physical loss or damage to said real property directly caused by those perils covered under fire and extended coverage or other direct physical damage perils which the **Assured** required the mortgagor to insure against, including the peril of flood in such amounts as are required to be insured by the mortgagor to comply with the National Flood Insurance Reform Act of 1994 or any amendments thereto, provided that such loss to the **Assured**'s **Mortgage Interest** is a direct result of an act or omission on the part of the mortgagor or any other party other than the **Assured** or its **Designated Agent** which results in:

[i] the non-existence or inadequacy as to amount of such insurance(s); or,

[ii] the **Assured** being unable to collect the loss wholly or partially under the said insurance(s), despite reasonable effort and expenditure, for any reason not caused or contributed to by dishonesty on the part of the **Assured**, its officers or **Employees**.

Coverage under this Insuring Clause is limited to 90 days from the date an employee with supervisory responsibility in the "in-house" insurance agency, foreclosure unit, insurance escrow unit or servicing department of the **Assured** becomes aware that the required insurance is not in effect or is inadequate as to amount or uncollectible.

Mortgage Interest is further extended to include ownership interest in real property obtained through foreclosure or by receipt of deed in lieu of foreclosure but only for Insuring Clause C2[b][i] and C2[b][ii]. The **Assured**'s ownership interest in foreclosed property shall in no event exceed the mortgage balance due on the date title passes to the **Assured**.

Special Conditions:

It is agreed that as a condition precedent to coverage under Insuring Clause C2[b] above that:

[a] the **Assured** shall incorporate in every mortgage agreement entered into by the **Assured** on or after the inception date of this Bond a condition requiring the mortgagor to maintain fire and extended coverage insurance and said flood insurance; and

[b] as to all prior mortgages existing before the inception date of this Bond the **Assured** shall require that the mortgagor shall maintain fire and extended coverage insurance and said flood insurance for the benefit of the **Assured**; and

[c] all of the above mentioned insurances except flood insurance to be in an amount equal to the balance of the mortgage or the replacement cost of structures built upon the mortgaged property, whichever is less, and to be in compliance with any co-insurance clause in said insurance; and

[d] at the time of the **Assured**'s acceptance of the policy, the Assured shall verify that said insurance is underwritten by Lloyd's of London or by an insurer rated at least B+ by A.M. Best & Company.

It is also agreed that in respect of Insuring Clause C2[b], if the **Assured** services mortgages under a written agreement with one or more principals, this Bond covers as though the **Assured** owned the **Mortgage Interest**.

It is also agreed that the loss to **Assured**'s **Mortgage Interest** covered under Section C2[b] of this Bond shall be the least of:

[a] the amount of the actual direct physical damage to the mortgaged property; or

[b] the amount of the **Assured**'s outstanding mortgage balance; or

[c] the actual market value of the structures built upon the mortgaged property at the time of the loss.

AGREEMENTS

A. COURT COSTS AND ATTORNEYS' FEES

With respect to Sections A and C of this Bond Underwriters agree to indemnify the **Assured** for court costs and attorneys' fees pursuant to the provisions set forth below:

1. Indemnification

The Underwriters shall indemnify the **Assured** against court costs and reasonable attorneys' fees incurred and paid by the **Assured** in defending any suit or legal proceeding brought against the **Assured** which results in a loss to the **Assured** covered by Insuring Clauses A2, A3, A5[b], C1 and C2 of this Bond in excess of any Deductible. Court costs and attorneys' fees indemnified to the **Assured** shall be part of and not in addition to the applicable Aggregate Limit of Indemnity or the applicable sub-limit and payments made under this Bond including payments of such court costs and attorneys' fees shall reduce the amount of the applicable Aggregate Limit of Indemnity or applicable sub-limit shown in the Schedule.

2. Multiple Causes of Action

If multiple causes of action are alleged in any such suit or legal proceeding some of which causes of action, if established against the **Assured**, would not constitute a collectible loss under the Bond then the **Assured** shall bear for its own expense the court costs and attorneys' fees incurred in the defense of such alleged causes of action.

3. Proration

If the amount of the **Assured**'s loss is greater than the amount recoverable under this Bond, or if a Deductible is applicable, or both, the liability of the Underwriters to indemnify for court costs and attorneys' fees under paragraph 1 above is limited to that proportion of court costs and attorneys' fees incurred and paid by the **Assured** or by the Underwriters that the amount recoverable under this Bond bears to the total of such amount plus the amount which is not so recoverable.

4. Payment After Judgment

The Underwriters shall not be liable to indemnify the **Assured** for court costs and attorneys' fees until after final judgment or settlement of any suit or legal proceeding.

5. Election to Defend

The Underwriters may but are not obligated to conduct the defense of such suit or legal proceeding referred to in paragraph 1 above. At the Underwriters' election the **Assured** shall permit the Underwriters to conduct the defense of such suit or legal proceeding referred to in paragraph 1 above, in the **Assured**'s name, through attorneys of the Underwriters' selection. The **Assured** shall give all reasonable information and assistance that the Underwriters shall deem necessary to the defense of such suit or legal proceeding. Court costs and attorneys' fees paid by the Underwriters in defending such suit or legal proceeding shall be applied to the reduction of the Aggregate Limit of Indemnity and sub-limit for the applicable Insuring Clause.

If having elected to defend the Underwriters pay court costs and attorneys' fees in excess of their proportionate share of such costs and fees the **Assured** shall promptly reimburse the Underwriters for such excess.

The **Assured** shall not unreasonably withhold consent to a settlement by the Underwriters of any suit or legal proceeding.

B. EMPLOYEE WELFARE OR PENSION BENEFIT PLAN PROVISIONS

With respect to Insuring Clause A1 of this Bond, the following shall apply:

[a] Each natural person who is a director of the **Assured** shall, while engaged in the handling of funds or other property of any pension, retirement, profit sharing or welfare plan or fund established by the **Assured** for the benefit of its **Employee**s (hereinafter referred to as the "Plan"), be deemed to be an **Employee** of the **Assured**.

[b] Each natural person or organization who or which is a trustee, fiduciary, administrator, manager or employee of such Plan (herein called "Fiduciary") shall be deemed to be an **Employee** of the **Assured**. Each such Fiduciary and the partners, officers and employees of such Fiduciary shall, collectively, be deemed to be one **Employee** for all purposes of this bond.

[c] The term **Assured** shall include any pension, retirement, profit sharing or welfare plan or fund established by the **Assured** for the benefit of its **Employees**.

C. NON-STATUTORY BOND

This Bond is not issued pursuant to, nor should it be construed as providing coverages in conformity with, any regulatory or statutory requirements whether state or federal for bonding or fidelity coverages.

This Bond shall not be read in conjunction with any regulatory or statutory requirements. It is solely the **Assured**'s responsibility:

[a] to determine whether the terms, conditions and other provisions contained in the Bond meet

[i] any regulatory or statutory obligation to maintain bonding or fidelity coverages, with which the **Assured** may be required to comply, or

[ii] the requirements of any other party which may have an interest in, or require the **Assured** to maintain bonding or fidelity coverages,

whether as to amount or otherwise; and

[b] to obtain from other insurers any additional or alternative coverages required by virtue of any such obligation or requirement.

Additional or alternative coverages may be available at the Underwriters' sole discretion by endorsement to this Bond subject to the Underwriters' prior approval and consent, and subject to the payment of any additional premium and any additional terms and conditions which the Underwriters may require.

D. SMALL ADDITIONAL OR RETURN PREMIUMS

Notwithstanding anything to the contrary contained herein and in consideration of the premium for which this insurance is written, it is understood and agreed that whenever an additional or return premium of $25.00 or less becomes due from or to the **Assured** on account of the adjustment of a deposit premium, or of an alteration in coverage or rate during the term or for any other reason, the collection of such premium from the **Assured** will be waived or the return of such premium to the **Assured** will not be made, as the case may be.

DEFINITIONS

FOR THE PURPOSES OF THIS BOND:

[a] **Additional Assured** means the **Additional Assured**(s) named in Item 1 of the Schedule.

[b] **Appraisal** means an original written valuation, purporting to represent the fair market value of a residential, multi-family, or an income property which written valuation is performed by an **Employee** of the **Assured** or by an **Approved Outside Appraiser** on behalf of the **Assured** and which written valuation is provided directly to the **Assured** in respect of a **Real Estate Loan**.

[c] **Approved Outside Appraiser** means only those persons, other than an **Employee**, who the **Assured** has appointed and designated to its approved appraiser's list to perform **Appraisals** for the **Assured**, and who are certified or licensed by the jurisdiction in which they provide their **Appraisals**.

[d] **Assured** means the **Named Assured** and all **Additional Assured(s)** named in Item 1 of the Schedule.

[e] **Assured**'s **Computer System** means a **Computer Systems** operated by the **Assured** and which are is either owned by or leased to the **Assured**, and a **Computer System** operated by:

[i] a **Service Bureau** authorized by written agreement to perform data processing services on behalf of the **Assured**;

[ii] a **Sub-Custodian**;

[iii] a **Central Depository**.

[f] **Attorney** means a natural person, other than a director, **Employee**, partner, **Sole Proprietor, Major Shareholder** or internal corporate attorney of the **Assured**, who is licensed in the state in which he practices law and is specifically retained by the **Assured** or its correspondent to perform legal services for the benefit of the **Assured** in connection with a **Real Estate Loan** which is the subject matter of Insuring Clauses A1[c] or B1 and the employees of such **Attorney** while such Attorney, or the employees of such **Attorney**, are performing such services for the **Assured**.

[g] **Bond Period** means the period of Bond coverage for the **Assured** which is stated in Item 2 the Schedule, or if the period between the effective date of this Bond and the termination of this Bond is less, such lesser period.

[h] **Central Depository** means any clearing corporation that is declared in the application, including any Federal Reserve Bank of the United States, where as the direct result of an electronic clearing and transfer mechanism entries are made on the books reducing the account of the transferor, pledgor or pledgee and increasing the account of the transferee, pledgee or pledgor by the amount of the obligation or the number of shares or rights transferred, pledged or released.

[i] **Certificate of Origin or Title** means a document issued by a manufacturer of personal property or a governmental agency evidencing the ownership of the personal property and by which ownership is transferred.

[j] **Certificated Security** means a share, participation or other interest in property of or an enterprise of the issuer or an obligation of the issuer which is:

[i] represented by an instrument issued in bearer or registered form;

[ii] of a type commonly dealt in on securities exchanges or markets or commonly recognized in any area in which it is issued or dealt in as a medium for investment; and

[iii] either one of a class or series or by its terms divisible into a class or series of shares, participations, interests or obligations.

[k] **Closing Documents** means a mortgage, trust deed, note or title policy.

[l] **Collateral** means a note, mortgage or deed of trust upon real property.

[m] **Computer Manipulation** means:

[i] the fraudulent or malicious introduction of

[a] **Electronic Data**; or

[b] **Electronic Computer Programs**;

into the **Assured**'s **Computer System**;

[ii] the fraudulent or malicious modification, corruption or deletion of

[a] **Electronic Data**; or

[b] **Electronic Computer Programs**;

stored within, run within, or during dematerialized transmission to the **Assured**'s **Computer System** or during physical transit of **Electronic Data Processing Media**;

[iii] the fraudulent or dishonest introduction, modification or deletion of dematerialized communications or programs within

[a] the **Assured**'s **Computer System**; or

[b] an **Electronic Communication System**;

[iv] the fraudulent or malicious introduction of a computer virus into the **Assured's Computer System**;

[v] the transmission of fraudulent instructions to the **Assured** by an unauthorized person by **Tested** voice programs over the telephone;

[vi] the **Assured** having transferred, paid or delivered any funds or property, established any credit, debited any account or given any value as the direct result of the fraudulent or malicious introduction or modification of **Electronic Data** directly into the **Assured's Computer System**; which fraudulent acts were committed by a person with the manifest intent to obtain and resulted in the receipt of **Improper Personal Financial Gain** for said person or any other person acting in collusion with said person.

[n] **Computer System** means a computer suitable for multi-use applications that is capable of directing hardware, software and data resources according to **Electronic Computer Programs** formulated and introduced to the computer's operating system by the user. All input, output, processing, storage and communication facilities including related communication or open systems networks which are physically connected to such a device, as well as the device's off-line media libraries, are deemed to be part of such **Computer System**.

[o] **Counterfeit** means the reproduction of an authentic item, as set forth in Insuring Clauses A5[d], such that the **Assured** is deceived on the basis of the quality of the imitation so as to believe that said item is the authentic original instrument. Fictitious instruments which merely contain fraudulent misrepresentations of fact are not **Counterfeit**.

[p] **Custodial Account** means a trust, custodial or escrow account designated by the **Assured** for the sole benefit of a **Secondary Market Institution** and maintained by the **Assured** in compliance with requirements of the **Secondary Market Institution**.

[q] **Designated Agent** means any corporation, partnership or natural person which has a written agreement with the **Assured** to perform the services referred to in Insuring Clause C1 and C2. Such written agreement shall set forth the terms and conditions under which the service is provided including the insurance coverage carried by said **Designated Agent** for said services. **Designated Agent** does not include **Loan Closing Agents** or **Attorney**s.

[r] **Document Custodian** means the institution that verifies and maintains the original notes and assignments of the security instruments for the **Assured**.

[s] **Electronic Communication System** means electronic communication operations of the Society for Worldwide Interbank Financial Telecommunications (SWIFT), Clearing House Automated Payments System (CHAPS), the Banks Automated Clearing System (BACS), communications systems of a **Central Depository** or automated clearing houses, communications systems of network providers, **Sub-Custodians**, **Tested** telex systems and **Tested** telefacsimile systems, and any other similar communications systems.

[t] **Electronic Computer Programs** means computer programs, i.e. facts or statement converted to a form usable in a **Computer System** to act upon **Electronic Data.**

[u] **Electronic Data** means facts or information converted to a form usable in a **Computer System** and which is stored on **Electronic Data Processing Media** for use by computer programs.

[v] **Electronic Data Processing Media** means tapes or discs or other bulk media, whether magnetic or optical, on which **Electronic Data** are recorded.

[w] **Electronic Signature** means an electronic sound or symbol attached to or placed upon **Closing Documents** or **Real Estate Documents** and executed or adopted by a person with the intent to sign the Closing Document or Real Estate Document.

[x] **Employee** means

[i] one or more of the **Assured**'s officers, clerks and other natural persons whether full or part-time while employed in the regular service of the **Assured** in the ordinary course of the **Assured**'s business and whom the **Assured** compensates by salary, wages or commissions and student interns whether compensated by salary, wages or commissions or not, and who the **Assured** has the right to govern and direct in the performance of such service, or

[ii] any director of the **Assured** who is also an officer of the **Assured**, while acting in the capacity of an officer of the **Assured**, or

[iii] any director of the **Assured** who is not also an officer of the **Assured**, while acting as a member of any committee duly elected or appointed by resolution of the board of directors of the **Assured** to perform specific, as distinguished from general, directorial acts on behalf of the **Assured**, or

[iv] a natural person provided to the **Assured** by an employment agency or employment leasing agency furnishing personnel to perform employee duties for the **Assured** within the **Assured**'s **Premises** on a temporary, part-time or full time basis, or

[v] a natural person, partnership or corporation appointed by written agreement with the **Assured** to act as its agent in the capacity of data processor of checks or other accounting records of the **Assured**, while so acting in such capacity on behalf of the **Assured**. Each such data processor and the partners, officers and employees of such data processor shall be, collectively, one **Employee** for all the purposes of this Bond, excepting, however, paragraph (3) of Condition M.

It is understood, however, that the term **Employee** does not include any **Attorney**, partner, **Sole Proprietor** or **Major Shareholder** of the **Assured**, nor, except as provided above, any director of the **Assured**.

[y] **Evidence of Debt** means an instrument, including a negotiable Instrument, executed by a customer of the **Assured** and held by the **Assured** which in the regular course of business is treated as evidencing the customer's debt to the **Assured**.

[z] **Forged Signature** means the handwritten signing or endorsing of the **Electronic Signature** of the name of another genuine person with intent to deceive; it does not include the signing or endorsing of the **Electronic Signature** in whole or in part of one's own name, with or without authority, in any capacity, for any purpose.

[aa] **Fraudulent Alteration** means a material alteration to an instrument or **Electronic Signature** for a fraudulent purpose by a person other than the person who prepared the instrument

[ab] **Guarantee** means a written undertaking obligating the signer to pay the debt of another to the **Assured** or its assignee or to a financial institution from which the **Assured** has purchased participation in the debt, if the debt is not paid in accordance with its terms.

[ac] **Homeowner's Insurance** means a multi-peril policy of insurance combining property and liability insurance on 1 to 4 family residential property excluding, however, any coverage directly or indirectly arising out of the ownership, maintenance, operation, use, loading or unloading of

[i] motor vehicles, or

[ii] aircraft, or

[iii] watercraft to the extent said watercraft is excluded from coverage under said homeowner's policy.

[ad] **Improper Personal Financial Gain** does not include salary, fees, commissions, bonuses, salary increases, promotions, profit sharing and other emoluments or similar benefits.

[ae] **Investor** means a corporation, association, partnership or natural person that owns or holds a **Real Estate Loan** originated, transferred, sold or serviced by the **Assured** and including but not limited to life insurance companies, pension funds, commercial banks, savings banks, savings and loan associations, state housing finance agencies, mortgage bankers and the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation, and the Government National Mortgage Association.

[af] **Loan Closing Agent** means a natural person, other than a director, **Employee,** partner, **Sole Proprietor, Major Shareholder** or internal corporate attorney of the **Assured**, reviewed and accepted by the **Assured** to perform loan closing services for the **Assured** in connection with a Real Estate Loan which is the subject matter of Insuring Clauses A1[c] or B1.

[ag] **Major Shareholder** means a natural person who has or had directly, indirectly or beneficially 25% or more of the outstanding voting shares of the **Assured**.

[ah] **Mortgage Interest** shall mean the interest of the **Assured** in property sold under a conditional sales agreement, a mortgage, a deed of trust, or any other instrument representing an interest in real property executed for the benefit of the Assured as security for a loan.

[ai] **Money** means only currency, coin, bank notes and federal reserve notes, checks and money orders.

[aj] **Named Assured** means the entity named in Item 1 of the Schedule.

[ak] **Premises** means

[i] the **Assured**'s main office stated in the Schedule, or

[ii] any branch office or other office from which the **Assured** carries on its business, or

[iii] any office of any commercial bank, savings bank, savings and loan association, transfer agent or registration agent having custody of **Property** for the purpose of safekeeping, exchange, conversion, registration or transfer in the ordinary course of business.

[al] **Property** means the following tangible items: currency, coin, bank notes, federal reserve notes, certificates of stock, bonds, bond coupons and similar forms of **Securities**, checks, drafts, mortgage backed securities, negotiable and nonnegotiable instruments or contracts representing money or other property (real or personal), books of account and other records including tapes, disks and similar recording media used by the **Assured** in the conduct of its business, which items are held by the **Assured** for any purpose or in any capacity and whether so held gratuitously or otherwise and whether the **Assured** is legally liable therefor or not, and other tangible items of personal property not hereinbefore enumerated for which the **Assured** is legally liable.

[am] Real Estate Documents mean any

[i] deed, application for mortgage loan, verification of employment, verification of deposit, documents evidencing private mortgage insurance, Federal Housing Administration insurance, Veterans Administration guarantee, assignment of mortgage, assignment of deed of trust, assumption agreement, assignment of leases and rents, security agreement, escrow agreements, access and amenity easements, or joint use and maintenance agreements, or

[ii] underwriting documents including financial statements, rent rolls, operating statements on the asset (if an existing property), specifications for the real property, surveys, leases in connection with a loan on commercial real property including a real estate construction loan, estoppel certificates, certificates of occupancy, real estate sales contract, settlement statement, credit report, damage restoration statement, environmental report, property inspection report, cooperative maintenance fee report, or cooperative board resolution, or

[iii] **Appraisal**, mortgage commitment, or borrower's acceptance of commitment, or

[iv] Uniform Commercial Code financing statement pursuant to U.C.C. 9 - 402 to perfect a security interest in real property excluding a security agreement, or

[v] letter of credit, assignment of a certificate of deposit or bank account, and any similar instrument pledged to the **Assured** as collateral for a **Real Estate Loan**, or

[vi] land trust documents, or

[vii] owner's sworn statement, architect's certificate, inspecting engineer's report, lien waiver, soil test report, and draw request, provided that said items are obtained by the **Assured** in connection with a construction loan, or

[viii] any other document, approved by the **Investor**, which amends, modifies or endorses any of the above.

[an] Real Estate Loan means a loan or transaction in the nature of a loan or extension of credit, including a participation interest in such loan or transaction, secured by a note and a mortgage or deed of trust on a 1- to 4-family residential property or on a multi-family property or commercial real property, including a real estate construction loan.

[ao] Secondary Market Institution means the Federal National Mortgage Association, Federal Home Loan Mortgage Corporation, Government National Mortgage Association and for purposes of Insuring Clause B1 only, any entity that is specifically named in a Specific Investor Loss Payee / Right of Action Endorsement.

[ap] Securities means all negotiable and non-negotiable instruments representing either **Money** or other **Property.**

[aq] Security Agreement means an agreement which creates an interest in personal property or fixtures and which secures payment or performance of an obligation.

[ar] Service Bureau means a natural person, partnership or corporation authorized by written agreement to perform data processing services using **Computer Systems**.

[as] Single Loss means all covered loss, court costs and attorney's fees incurred under the Agreements, irrespective of the number of claimants, resulting from:

(i) any one act or series of related acts of burglary, robbery, or attempt thereat, in which no **Employee** is implicated; or

(ii) any one act or series of related acts or related unintentional or negligent acts or errors or omissions resulting in damage to or destruction or misplacement of **Property** or **Real Estate Documents** or of a loss covered under Section C of the Bond; or

(iii) all acts or omissions other than those specified in (i) or (ii) preceding, caused by any one person (whether an **Employee** of not), or in which such person is implicated; or

(iv) any one casualty or event not specified in (i), (ii) or (iii) preceding

[at] Sub-Custodian means a person or organization with which the **Assured** has a written agreement for the provision of purchasing services, safekeeping, registration and entitlement records for the **Assured** in connection with Securities.

[au] Sole Proprietor means a natural person who directly or beneficially solely owns or owned the **Assured**.

[av] Tested means a method of authenticating the contents of a communication by

(i) affixing thereto a valid test key which has been exchanged between the **Assured** and a customer, or automated clearing house, or **Central Depository**, or another financial institution or between offices of the **Assured**, for the purpose of protecting the integrity of the communications;

(ii) a call back to an authorized person other than the individual initiating the transmission of a communication.

[aw] Theft as used in Insuring Clause A1 means the unlawful taking of **Money**, **Securities** or other **Property** to the deprivation of the **Assured**.

[ax] Theft as used in Insuring Clause B1 means only

[i] the wrongful taking of **Money** deposited into or actually received by the **Assured** for the sole benefit of a **Secondary Market Institution** or **Warehouse Lender** which **Money** has been deposited with or paid to the **Assured** for the purpose of purchasing a **Real Estate Loan** for said **Secondary Market Institution** or **Warehouse Lender** or collected or actually received by the **Assured** for said **Secondary Market Institution** or **Warehouse Lender** in connection with a **Real Estate Loan** which the **Assured** is servicing for said **Secondary Market Institution** or **Warehouse Lender**, or

[ii] the wrongful appropriation and fraudulent sale or pledging to others of **Collateral** in which a **Secondary Market Institution** or **Warehouse Lender** has an interest,

which acts were committed with the intent to deprive said **Secondary Market Institution** or **Warehouse Lender** of its right to said **Money** or **Collateral.**

[ay] Trading means trading or other dealings whether actual or fictitious in securities, commodities, futures, options, foreign or federal funds, currencies, foreign exchange and the like but shall be deemed not to include the purchase and sale of mortgages to or for an **Investor** or another mortgage banker.

[az] Warehouse Lender means any lender with whom the **Assured** has an enforceable written warehouse lending agreement.

CONDITIONS

A. Joint Assured

If more than one **Assured** is covered under this Bond, the **Named Assured** shall act for all **Assureds** for all the purposes of this Bond. Knowledge possessed by any partner, director, officer or **Major Shareholder** of any **Assured** shall for all the purposes of this Bond constitute knowledge by all the **Assureds**. The liability of the Underwriters for loss or losses sustained by any or all **Assureds** shall not exceed the amount for which the Underwriters would be liable had all such loss or losses been sustained by any one **Assured**. Payment by the Underwriters to the **Named Assured** of loss sustained by any **Assured** shall fully release the Underwriters on account of such loss. If the **Named Assured** ceases for any reason to be covered under this Bond, then the **Assured** next named shall thereafter be considered as the **Named Assured** for all the purposes of this Bond.

B. Additional Offices, Consolidation, Merger or Purchase of Another Institution

If the **Assured** shall, during the **Bond Period**, establish any new branch offices or any additional **Computer Systems**, other than by consolidation or merger with, or purchase of assets of another institution, such branch offices or **Computer Systems** shall be automatically covered hereunder from the dates of their establishment, without the requirement of notice to the Underwriters or the payment of additional premium for the remainder of the **Bond Period**.

If the **Assured** shall, during the **Bond Period**, merge or consolidate with, or purchase, another institution, with or without occasioning any change in ownership or control of the **Assured**, the **Assured** shall not have any coverage under this Bond for loss which

[i] has occurred or may subsequently occur in offices or premises, or

[ii] has been caused or may subsequently be caused by any partner, director or employee of said institution, or

[iii] has arisen or may subsequently arise out of the assets or liabilities,

acquired by the **Assured** as a result of such consolidation, merger, or purchase of assets unless the **Assured** shall

[i] obtain the written consent of the Underwriters to extend some or all of the coverage provided by this Bond, and

[ii] give written notice to the Underwriters of its agreement to the terms required for said coverage, and

[iii] pay to the Underwriters any additional premium.

C. Notice of Change of Control

1. Change in Stock Ownership

Upon the **Assured**'s obtaining knowledge of a transfer of its outstanding voting stock which results in a change in control of the **Assured**, the **Assured** shall as soon as practicable and in any event within thirty (30) days of such knowledge give written notice to the Underwriters setting forth full particulars of the transaction including the identity of the transferors and transferees (or the identity of the beneficial owners if the shares are registered in another name).

As used in this Condition, control means the power to determine the management or policy of the **Assured** by virtue of voting stock ownership. A change in ownership of voting stock which results in direct or indirect ownership by a stockholder or an affiliated group of stockholders of ten percent (10%) or more of the outstanding voting stock of the **Assured** shall be presumed to result in a change of control of the purpose of the required notice.

2. Change in Partnership or Sole Proprietor Status

The **Assured** shall give notice of a change in partnership or **Sole Proprietor** status resulting in a change of control as soon as practicable and in any event within thirty (30) days of such change give written notice to the Underwriters setting forth the full particulars of such change including the identity of the new partners or owners.

3. Continuation of Coverage

The **Assured** shall not have any coverage under this Bond for any loss sustained after the date of such ownership change or change in control, unless the **Assured** shall

[a] give written notice in the time and manner aforementioned, and

[b] obtain the written consent of the Underwriters to continue some or all the coverage provided by this Bond, and

[c] given written notice to the Underwriters of its agreement to the terms required for said coverage, and

[d] pay to the Underwriters any additional premium.

D. Service Of Suit

It is agreed that in the event of the failure of the Underwriters to pay any amount claimed to be due hereunder, the Underwriters, at the request of the **Assured**, will submit to the jurisdiction of a court of competent jurisdiction within the United States. Nothing herein shall constitute or should be understood to constitute a waiver of the Underwriters' rights to commence an action in any court of competent jurisdiction in the United States to remove an action to a United States District Court or to seek a transfer of a case to another court as permitted by the laws of the United States or of any state in the United States.

It is further agreed that service of process in such suit may be made upon the persons named in the Schedule, and that in any suit instituted against anyone of them upon this Bond, the Underwriters will abide by the final decision of such court or any appellate court in the event of an appeal.

The persons named in the Schedule are authorized and directed to accept service of process on behalf of the Underwriters in any such suit and or upon the request of the **Assured** to give a written undertaking to the **Assured** that they will enter a general appearance upon the Underwriters' behalf in the event that such a suit shall be instituted.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, the Underwriters hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statue or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by the **Assured** and hereby designate the persons named in the Schedule as the persons to whom the said officer is authorized to mail such process or a true copy thereof.

E. Right of Action by Assured, Secondary Market Institution, Warehouse Lender and Investor

1. Assured

It is agreed that the insurance granted herein shall be for the exclusive benefit only of the **Assured** named herein, and that in no event, except with regard to Insuring Clauses B1, C1[b], C1[d] and C2 stated below, shall anyone other than the **Assured** have any right of action under this Bond.

2. Secondary Market Institution / Warehouse Lender

With regard to Insuring Clauses B1, C1[b], C1[d] and C2, if a **Secondary Market Institution** or **Warehouse Lender** makes a claim against the **Assured** during the **Bond Period**, the **Secondary Market Institution** or **Warehouse Lender** may also pursue such claim directly under the Bond. In such event, the **Secondary Market Institution** or **Warehouse Lender** as a condition precedent to coverage under the Bond is required to give written notice of such claim at the earliest practicable moment but in no event later than one hundred twenty (120) days following the date such claim was made against the **Assured** and said **Secondary Market Institution** or **Warehouse Lender** shall furnish to the Underwriters proof of loss as provided in Condition I(3) of this Bond and shall comply with Conditions J and K of this Bond.

In the event the **Secondary Market Institution** or **Warehouse Lender** makes a claim under Insuring Clause B1, C1[b], C1[d] or C2, whether before or after the **Assured** has made such claim, the **Secondary Market Institution** or **Warehouse Lender** may elect to have the sole right to pursue such claim.

If it is ultimately determined by the Underwriters that any loss or losses are recoverable under Insuring Clause B1, C1[b], C1[d] or C2, then payment of said claim by the Underwriters to the **Secondary Market Institution** or **Warehouse Lender** shall discharge the Underwriters' obligation to the **Assured** under this Bond and reduce any Aggregate Limit of Indemnity remaining available to pay any further loss under this Bond.

The total liability of the Underwriters for all loss or losses is limited to the Aggregate Limit of Indemnity remaining available pursuant to Condition F irrespective of the total amount of such loss or losses sustained by the **Secondary Market Institution** or **Warehouse Lender**.

In the event of:

[a] multiple claims under this Bond one or more of which affect the interest of an **Secondary Market Institution** or **Warehouse Lender** and which claims are alleged to or appear to exceed the Aggregate Limit of Indemnity remaining available for the payment of loss under this Bond, or

[b] claims involving the same loss asserted by both a **Secondary Market Institution** or **Warehouse Lender** and a bankruptcy trustee, liquidator, receiver, conservator or rehabilitator of the **Assured** or any similar official

then payment of any claim in the sole discretion of the Underwriters may be held in abeyance until the final determination of all such claims.

Should the loss or losses recoverable under this Bond exceed the Aggregate Limit of Indemnity remaining available for the payment of such loss or losses then payment shall be made pro rata up to said remaining Aggregate Limit of Indemnity to the **Secondary Market Institution** or **Warehouse Lender** and the **Assured** according to their respective interests.

The right of action granted to the **Secondary Market Institution** or **Warehouse Lender** under this Condition E shall not extend to grant to the **Secondary Market Institution** or **Warehouse Lender** any right of action for loss under Insuring Clause A1.

3. Investor

With regard to Insuring Clauses C1[b], C1[d] or C2, if an **Investor** makes a claim against the **Assured** during the **Bond Period**, the **Investo**r may also pursue such claim directly under the Bond. In such event, the **Investor** as a condition precedent to coverage under the Bond is required to give written notice of such claim at the earliest practicable moment but in no event later than one hundred twenty (120) days following the date such claim was made against the **Investor** and the **Investor** shall furnish to the Underwriters proof of loss as provided in Condition I(3) of this Bond and shall comply with Conditions J and K of this Bond.

In the event the **Investor** makes a claim under Insuring Clause C1[b], C1[d] or C2, whether before or after the **Assured** has made such claim, the **Investor** may elect to have the sole right to pursue such claim.

If it is ultimately determined by the Underwriters that any loss or losses are recoverable under Insuring C1[b], C1[d] or C2, then payment of said claim by the Underwriters to the **Investor** shall discharge the Underwriters' obligation to the **Assured** under this Bond and reduce any Aggregate Limit of Indemnity remaining available to pay any further loss under this Bond.

The total liability of the Underwriters for all loss or losses is limited to the Aggregate Limit of Indemnity remaining available pursuant to Condition F irrespective of the total amount of such loss or losses sustained by the **Investor**.

In the event of:

[a] multiple claims under this Bond one or more of which affect the interest of an **Investor** and which claims are alleged to or appear to exceed the Aggregate Limit of Indemnity remaining available for the payment of loss under this Bond, or

[b] claims involving the same loss asserted by both an **Investor** and a bankruptcy trustee, liquidator, receiver, conservator or rehabilitator of the **Assured** or any similar official

then payment of any claim in the sole discretion of the Underwriters may be held in abeyance until the final determination of all such claims.

Should the loss or losses recoverable under this Bond exceed the I Aggregate Limit of Indemnity remaining available for the payment of such loss or losses then payment shall be made pro rata up to said remaining Aggregate Limit of Indemnity to the **Investor** and the **Assured** according to their respective interests.

The right of action granted to **Investor** under this Condition E shall not extend to grant to the **Investor** any right of action for loss under Insuring Clause A1.

F. Limit of Liability

The total liability of the Underwriters for all loss or losses and including court costs and attorneys' fees is limited with regard to

[i] Insuring Clauses A1, A2, A3, A4, A5, A6, A7, A8, A9, A10 and B1 to the Aggregate Limit of Indemnity for said Insuring Clauses stated in Item 3[a] of the Schedule, irrespective of the total amount of such loss or losses, and

[ii] Insuring Clauses C1 and C2 to the Aggregate Limit of Indemnity for said Insuring Clause stated in Item 3[b] of the Schedule, irrespective of the total amount of such loss or losses.

The **Single Loss** Limit of Indemnity of any Insuring Clause stated in Item 6 of the Schedule is part of and not in addition to the applicable Aggregate Limit(s) of Indemnity stated in Item 3 of the Schedule and the total liability of the Underwriters for all loss or losses, including court costs and attorneys' fees, concerning any coverage under any Insuring Clause with a sub-limit is limited to the amount of the sub-limit, irrespective of the total amount of such loss or losses.

If a **Single Loss** is covered under more than one Insuring Clause, the maximum payable shall not exceed the largest applicable **Single Loss** amount or applicable Sub-Limit.

Any payment made under Insuring Clauses A1, A2, A3, A4, A5, A6, A7, A8, A9, A10 and B1, shall reduce the Aggregate Limit of Indemnity for said Insuring Clauses stated in Item 3[a] of the Schedule.

Any payments made under Insuring Clauses C1 and C2 shall reduce the Aggregate Limit of Indemnity for said Insuring Clause stated in Item 3[b] of the Schedule.

If by reason of such payments the Aggregate Limit of Indemnity for Insuring Clauses A1, A2, A3, A4, A5, A6, A7, A8, A9, A10 and B1 is exhausted the Underwriters shall have no further liability

[a] to indemnify the **Assured** under any of said Insuring Clauses for any loss or losses, and

[b] to indemnify the **Assured** for any court costs and attorneys' fees incurred in connection with said Insuring Clause, and

[c] to continue the defense of the **Assured** in the event of the Underwriters' election to conduct the defense of any suit or legal proceeding. Upon notice by the Underwriters to the **Assured** that said Aggregate Limit of Indemnity has been exhausted, the **Assured** shall assume all responsibility for its defense at its own cost.

If by reason of such payments the Aggregate Limit of Indemnity for Insuring Clauses C1 and C2 is exhausted the Underwriters shall have no further liability

[a] to indemnify the **Assured** under said Insuring Clause for any loss or losses, and

[b] to indemnify the **Assured** for any court costs and attorneys' fees incurred in connection with said Insuring Clauses, and

[c] to continue the defense of the **Assured** in the event of the Underwriters' election to conduct the defense of any suit or legal proceeding. Upon notice by the Underwriters to the **Assured** that said Aggregate Limit of Indemnity has been exhausted, the **Assured** shall assume all responsibility for its defense at its own cost.

Any payment made under an Insuring Clause or a subsection of an Insuring Clause of this Bond shall also reduce any sub-limit stated in the Schedule applicable to said Insuring Clause or subsection of said Insuring Clause.

Upon exhaustion of such sub-limit applicable to said Insuring Clause or to a subsection of said Insuring Clause by such payments the Underwriters shall have no further liability

[a] to indemnify the **Assured** under said Insuring Clause or said subsection of said Insuring Clause for any loss or losses, and

[b] to indemnify the **Assured** for any court costs and attorneys' fees incurred in connection with said Insuring Clause or said subsection of said Insuring Clause, and

[c] to continue the defense of the **Assured** in the event of the Underwriters' election to conduct the defense of any suit or legal proceeding. Upon notice by the Underwriters to the **Assured** that the sub-limit has been exhausted, the **Assured** shall assume all responsibility for its defense at its own cost.

If by reason of payments made under this Bond the Aggregate Limit of Indemnity stated in Item 3[a] of the Schedule is reduced to an amount less than the amount stated for any sub-limit in Item 4[a] of the Schedule then the amount of the sub-limits shall be reduced accordingly so that the total amount available under any sub-limit for any loss or losses, including court costs and attorneys' fees, does not exceed the reduced amount remaining available under said Aggregate Limit of Indemnity.

If by reason of payments made under this Bond the Aggregate Limit of Indemnity stated in Item 3[b] of the Schedule is reduced to an amount less than the amount stated for any sub-limit in Item 4[b] of the Schedule then the amount of the sub-limits shall be reduced accordingly so that the total amount available under any sub-limit for any loss or losses, including court costs and attorneys' fees, does not exceed the reduced amount remaining available under said Aggregate Limit of Indemnity.

The Aggregate Limits of Indemnity, and any sub-limit, shall not be reinstated in whole or in part by any recovery effected subsequent to any payment made under this Bond.

In the event that the loss of an instrument is settled through the use of a lost instrument bond or indemnity agreement pursuant to Condition R, such loss, to the extent that the Underwriters are not called upon to pay such loss whether or not under said lost instrument bond or indemnity agreement, shall not reduce an Aggregate Limit of Indemnity or a sub-limit remaining for the payment of any loss or losses. However, any payment by the Underwriters of such loss or under such lost instrument bond or indemnity agreement shall be deemed to be a payment under this Bond.

The exhaustion or reduction of an Aggregate Limit of Indemnity or a sub-limit does not affect the Underwriters' obligations in connection with any lost instrument bond or indemnity agreement issued prior to the exhaustion or reduction of an Aggregate Limit of Indemnity or a sub-limit.

G. Non-Cumulative Cover

Regardless of the number of succeeding Bonds of like nature with the Underwriters that shall continue in force, and the number of premiums which shall be payable or paid, the liability of the Underwriters shall not be cumulative in amounts from year to year or from period to period.

H. Due Diligence

It is agreed that as a condition precedent to the **Assured**'s right to recover under this Bond, the **Assured** shall exercise due diligence by making every reasonable effort to mitigate any actual or potential loss for which insurance is or may be afforded under this Bond.

It is further agreed that with respect to Insuring Clauses C1 and C2 of this Bond, due diligence shall include but not necessarily be limited to making every reasonable effort to effect and maintain insurance against those perils and in such amounts, which are customarily required in mortgage banking transactions covered under this Bond.

It is further agreed that upon the discovery of any error or accidental omission in failing to obtain insurance or guarantee or which has caused or is likely to cause such insurance or guarantee to be voided or rendered invalid the **Assured** shall make diligent effort to obtain, reinstate or replace such insurance coverage or guarantee.

It is agreed that as a condition precedent to a **Secondary Market Institution**'s or **Warehouse Lender's** right to make claim under Insuring Clauses B1, C1[b], C1[d] and C2, the **Secondary Market Institution** or **Warehouse Lender** shall exercise due diligence by making every reasonable effort to prevent or mitigate any actual or potential loss hereunder and by making any claim which it may have against the **Assured** as soon as reasonably practicable.

It is agreed that as a condition precedent to an **Investor**'s right to make claim under Insuring Clauses C1[b], C1[d] or C2, the **Investor** shall exercise due diligence by making every reasonable effort to prevent or mitigate any actual or potential loss hereunder and by making any claim which it may have against the **Assured** as soon as reasonably practicable.

It is further agreed that with regard to Insuring Clause C2[b] the **Assured** agrees to have in effect and observe the following procedures:

[a] in respect of all real property the **Assured** shall maintain a systematic method to secure insurance on behalf of the mortgagor should the **Assured** become aware of any information that the required insurance is or will terminate, be inadequate as to amount or be uncollectible;

[b] in respect of the **Assured**'s interest in property that is or has been the subject of a foreclosure proceeding, the **Assured** will do all things prudently necessary to maintain adequate fire and extended coverage and said flood insurance on the mortgage property and foreclosed property.

I. Discovery/Notice/Proof of Loss

1. Discovery

With respect to Insuring Clauses A1, A2, A3, A4, A5, A6, A7, A8, A10 and C1[a], discovery occurs when the **Assured** first

[a] becomes aware of facts which would cause a reasonable person to believe that a loss covered by the Bond has been or will be incurred, or

[b] receives notice of an actual or potential claim by a third party which alleges that the **Assured** is liable under circumstances which, if successfully proven, would result in a loss covered by the Bond,

even though the exact amount or details of loss may not then be known.

2. Notice

[a] Insuring Clauses A1, A2, A3, A4, A5, A6, A7, A8, A10, C1[a] and C2[b]

It is agreed that, as a condition precedent to its rights to recover under Insuring Clauses A1, A2, A3, A4, A5, A6, A7, A8, A10, C1[a] or C2[b] the **Assured** shall give written notice of the discovery of the loss at the earliest practicable moment and in no event later than sixty (60) days after discovery. The written notice shall provide full particulars including the identity of the person(s) responsible for the loss, the circumstances surrounding the loss, the amount of the loss and any other information which the **Assured** may so possess.

[b] Insuring Clauses B1, C1[b], C1[c], C1[d], C1[e], C1[f], C1[g] and C2[a]

It is agreed that, as a condition precedent to its right to recover under Insuring Clauses B1, C1[b], C1[c], C1[d], C1[e], C1[f], C1[g] and C2[a] of this Bond, the **Assured** shall give written notice of any claim made against the **Assured** at the earliest practicable moment but in no event later than sixty (60) days following the date such claim is made. The written notice shall provide full particulars including the identity of the person(s) bringing the claim, the identity of the person(s) responsible for the loss, the circumstances surrounding the loss, the amount of the loss and any other information which the **Assured** may so possess.

If during the **Bond Period** or any Discovery Option Period the **Assured** becomes first aware of any error, accidental omission or **Theft** under Insuring Clauses B1, C1[b], C1[c], C1[d], C1[e], C1[f], C1[g and C2[a] before any claim is made against the **Assured** but which could be reasonably anticipated to result in a claim against the **Assured**, then the **Assured** shall give written notice at the earliest practicable moment but in no event later than sixty (60) days following the date the **Assured** becomes first aware of such error, accidental omission or such **Theft**. The written notice shall include information on any loss or damage which has or may result therefrom and how the **Assured** became first aware of such error, accidental omission or **Theft**. Any claim subsequently made against the **Assured** as a direct result of such error, accidental omission or Theft shall be deemed to have been a claim made at the time the **Assured** becomes first aware of such error or accidental omission.

3. Proof of Loss

It is agreed that, as a condition precedent to its rights to recover under this Bond, the **Assured** shall within six (6) months after [i] discovery, or [ii] a claim is made or the **Assured** becomes aware of an error, accidental omission or **Theft** (whichever event occurs first), or [iii] the **Assured** has paid expenses to replace original **Real Estate Documents** or original **Closing Documents** recoverable under Insuring Clause A10, the **Assured** shall furnish to the Underwriters proof of loss duly sworn to by the chief financial officer or other officer of the **Assured** which shall be a narrative with full particulars including but not limited to

[a] as to Insuring Clauses A1, A2, A3, A4, A5, A6 and B1: the Insuring Clause under which the claim is being made; the alleged dishonest or fraudulent conduct committed by the **Employee**; the date the **Assured** discovered the loss and the circumstances surrounding how it was discovered; the amount of the loss; an itemization of the amounts paid out, advanced, withdrawn, taken or otherwise lost; an itemization of the funds or property received from any source whatsoever; the date the loss was sustained; and the circumstances surrounding how it was sustained; and the value of the property lost,

[b] as to Insuring Clause C1 and C2: the identity of the persons making the claim; the identity of the **Employee** who has committed the error or accidental omission and the circumstances surrounding it; the date the error or accidental omission occurred; the date the **Assured** received notice of the claim or became first aware that a claim would be made and the amount of the loss claimed,

[c] as to Insuring Clause A10: the date the **Assured** discovered the loss and the circumstances surrounding how it was discovered; the amount of the loss; an itemization of the amounts paid out; the date the loss was sustained; and the circumstances surrounding how it was sustained.

The proof of loss shall contain evidence to establish that a covered loss has been sustained and shall state whether any other insurance or indemnity is applicable.

J. Legal Proceedings

Legal proceedings for the recovery of any loss shall not be brought prior to the expiration of ninety (90) days after the original proof of loss is filed with the Underwriters or after the expiration of twenty-four (24) months from the date of discovery or date a claim is made against the **Assured**.

If the **Assured** or a **Secondary Market Institution** or a **Warehouse Lender** or an **Investor** requests an extension of time to file a proof of loss under Condition I(3) and the Underwriters consent thereto then said legal proceedings for the recovery of any loss shall not be brought for an equal period of time thereafter plus ninety (90) days.

K. Cooperation

Upon the Underwriters' request and at reasonable times and places designated by the Underwriters the **Assured** shall

[a] submit to examination by the Underwriters and subscribe to the same under oath, and

[b] produce for the Underwriters' examination all pertinent records including the audit records of its accountants, and

[c] cooperate with the Underwriters in all matters pertaining to the loss.

The **Assured** shall execute all papers and render all assistance as requested by the Underwriters.

The **Assured** shall do nothing after discovery of loss or after a claim has been made to prejudice the Underwriters' rights.

Subject to Insuring Clause B1 and Condition E should a **Secondary Market Institution** or **Warehouse Lender** or **Investor** make claim under this Bond said **Secondary Market Institution** or **Warehouse Lender** or **Investor** shall as a condition precedent to any recovery under this Bond cooperate by providing the documents and information above set forth.

L. Deductible

The Underwriters shall be liable hereunder, subject to Condition F, only for the amount by which each and every loss exceeds the applicable Deductible stated in Item 5[a] or 5[b] of the Schedule for the Insuring Clause or subsection of said Insuring Clause applicable to such loss.

It is agreed that the Deductible stated in Item 5[a] for Insuring Clause A1 shall not apply to loss sustained by any employee welfare or pension benefit plan covered under Insuring Clause A1 of this Bond through dishonest acts committed by any **Employee** of any such plan.

M. Termination

1. This Bond shall terminate as an entirety upon the earliest occurrence of any of the following:

[a] sixty (60) days after the receipt by the **Assured** of a written notice from the Underwriters of their decision to terminate this Bond; or

[b] immediately upon the receipt by the Underwriters of a

written notice from the **Assured** of its decision to terminate this Bond, provided however that as to:

[i] Insuring Clauses A5[b], B1, C1 and C2[a], or

[ii] claims first made against the **Assured** by an **Investo**r covered under Insuring Clause C1[b], C1[d] or C1[e]

coverage shall terminate twenty-one (21) days after receipt of said notice. Such additional period of time shall not increase the Aggregate Limit of Indemnity under Item 3[a] or 3[b], or

[c] immediately upon the appointment of a receiver, liquidator, conservator or rehabilitator or any similar official for or with respect to the **Assured**, or

[d] immediately upon the taking over of the **Assured** by another institution or by state or federal officials, or

[e] immediately upon the exhaustion of the Aggregate Limits of Indemnity stated in Item 3 of the Schedule, or

[f] at 12:01 a.m. on the expiration date stated in Item 2 of the Schedule, or

[g] immediately upon failure to pay the premium within thirty (30) days of inception of the **Bond Period** which termination shall be effective as of the inception date of the **Bond Period**.

In the event of termination the Underwriters shall, on request, refund to the **Assured** the unearned premium, computed as follows:

[i] termination as stated in [a] — return premium computed at pro rata, or

[ii] termination as stated in [b], [c] or [d] — return premium computed at short rate.

2. This Bond shall terminate as to any **Employee** or any partner, **Sole Proprietor**, **Major Shareholder** or director, or any **Attorney**, **Loan Closing Agent** or **Designated Agent**, fifteen (15) days after the receipt by the **Assured** of a written notice from the Underwriters of their desire to terminate this Bond as to such person.

3. This Bond shall terminate as to any **Employee** or any partner, director, **Sole Proprietor** or **Major Shareholder** of the **Assured** or any **Attorney**, **Loan Closing Agent** or **Designated Agent**, or any partner, officer or employee of any data processor as soon as any partner, **Major Shareholder**, **Sole Proprietor**, director or officer, not in collusion therewith, shall learn of any dishonest or fraudulent act committed by such person at any time against the **Assured** or any other person.

4. This Bond shall terminate as to Insuring Clauses A1, A2, A3, A4, A5, A6, A7, A8, A9, A10 and B1 upon exhaustion of the Aggregate Limit of Indemnity stated in Item 3[a] of the Schedule and the premium shall be deemed fully earned for the **Bond Period**.

5. Termination of this Bond as the result of exhaustion of the Aggregate Limit of Indemnity stated in Item 3[a] of the Schedule terminates liability for any loss under Insuring Clauses A1, A2, A3, A4, A5, A6, A7, A8, A9, A10 and B1 regardless of when sustained, when discovered or when a claim is made, and for payment of any court costs and attorneys' fees or for the continued defense of the **Assured.7**.

8. This Bond shall terminate as to Insuring Clauses C1 and C2 upon exhaustion of the Aggregate Limit of Indemnity stated in Item 3[b] of the Schedule and the premium shall be deemed fully earned for the **Bond Period.**

9. Termination of the Bond as the result of the exhaustion of the Aggregate Limit of Indemnity stated in Item 3[b] of the Schedule terminates liability for any loss under Insuring Clauses C1 and C2 regardless of when sustained, when discovered or when a claim is made, and for payment of any court costs and attorneys' fees or for the continued defense of the **Assured**.

10. If, prior to the termination of this Bond in its entirety, this Bond is terminated as to any **Assured**, there shall be no liability for any loss concerning such **Assured** unless written notice regarding such loss is given to the Underwriters before the time such termination as to such **Assured** becomes effective.

N. Bankruptcy

1. If a petition is filed involuntarily or voluntarily pursuant to Title 11 of the United States Bankruptcy Code during the **Bond Period**, then this Bond shall terminate in its entirety thirty (30) days after the filing of such petition or immediately upon the appointment of a trustee, receiver, liquidator, conservator or rehabilitator.

2. The Underwriters shall on request refund the unearned premium computed at short rate.

3. Upon written notice to the Underwriters within said thirty (30) days and the payment of an additional premium which is calculated at sixty percent (60%) of the full expiring premium, the **Assured** may elect to avail itself of an additional period not to exceed ninety (90) days from the effective date of such termination within which to

[a] discover loss sustained by the **Assured**, or

[b] receive notice of any claim made against the **Assured** on account of acts, errors, or accidental omissions or **Theft,** or

but only in respect of

[i] a loss sustained, or

[ii] an error, accidental omission or **Theft** taking place, or

[iii] wrongful conduct committed

prior to the date upon which such termination of the Bond becomes effective.

4. Such additional period of time for the discovery of losses or the receiving of notice of claims made shall terminate immediately on the effective date of any other insurance obtained by the **Assured**, its successor in business or any other party, replacing in whole or in part the coverage afforded by this Bond, whether or not such other insurance provides coverage for loss sustained prior to its effective date. In the event that such additional period of time is so terminated, earned premium for the expired time shall be computed pro rata and the Underwriters shall refund any unearned premium.

5. Such additional period of time for the discovery of losses or the receiving of notice of claims made against the **Assured** shall not increase the Aggregate Limit of Indemnity under Item 3[a] or 3[b] of the Schedule remaining available for the payment of losses.

O. Discovery Option Period

If the Underwriters shall terminate this Bond in its entirety pursuant to Condition M 1[a] or if the Underwriters fail to offer any renewal terms prior to the expiration date stated in Item 2 of the Schedule then at any time prior to the effective date of such termination or the date of such expiration of the Bond the **Assured**, upon written notice to the Underwriters and the payment of an additional premium which is calculated in accordance with Item 7 of the Schedule, may elect to avail itself of an additional period not to exceed twelve (12) months from the effective date of such termination or the date of such expiration of the Bond within which to

[a] discover loss sustained by the **Assured**, or

[b] receive notice of any claim made against the **Assured** on account of acts, errors, or accidental omissions or **Theft**, or

but only in respect of

[i] a loss sustained, or

[ii] an error, accidental omission or **Theft** taking place, or

[iii] wrongful conduct committed

prior to the date on which such termination or such expiration of the Bond became effective

Such additional period of time for the discovery of losses or the receiving of notice of claims shall terminate immediately

[a] on the effective date of any other insurance obtained by the **Assured**, its successor in business or any other party, replacing in whole or in part the coverage afforded by this Bond, whether or not such other insurance provides coverage for loss sustained prior to its effective date, or

[b] upon the appointment of a receiver, liquidator, conservator or rehabilitator or any similar person acting or appointed for this purpose or upon the taking over of the **Assured** by another institution or by state or federal officials,

without the necessity of the Underwriters giving notice of such termination.

In the event that such additional period of time is so terminated, earned premium for the expired time shall be computed pro rata and the Underwriters shall refund any unearned premium.

The right to elect such additional period of time may not be exercised by any state or federal official or agency, or by any receiver or liquidator, acting or appointed to take over the **Assured**'s business for the operation or the liquidation thereof or for any other purpose.

Such additional period of time for the discovery of losses or the receiving of notice of claims made against the **Assured** shall not increase the Aggregate Limit of Indemnity under either Item 3[a] or 3[b] of the Schedule remaining available for the payment of losses.

P. Other Insurance or Indemnity

It is agreed that in the event of loss, this Bond, insofar as it covers loss also covered by other insurance or indemnity, shall only pay claims (not exceeding the applicable Aggregate Limits of Indemnity or any applicable sublimit) for the excess of the amount of such other insurance or indemnity. As excess insurance this Bond shall not apply or contribute to the payment of any loss until the amount of such other insurance or indemnity shall have been exhausted. The Bond shall be excess of any insurance or indemnity of the **Assured**'s **Designated Agents** or **Loan Closing Agents**.

Q. Valuation

1. Securities and Foreign Currencies

The value of any securities or foreign funds or currencies for the loss of which a claim shall be made, shall be determined by their closing market price or value on the day of the discovery of the loss and if there be no market price or value for the same on that day then the value thereof shall be the value as agreed between the respective parties or in the event of difference as ascertained by arbitration. It is agreed; however, that should such securities, foreign funds or currencies be replaced by the **Assured**, with the approval of the Underwriters, the value thereof then shall be the actual cost of such replacement.

If this Bond is subject to a Deductible or the Aggregate Limits of Indemnity or the sub-limit remaining available for the payment of any loss or losses is not sufficient in amount to indemnify the **Assured** in full for the loss of securities for which claim is made hereunder, the liability of the Underwriters under this Bond is limited to the payment for, or the duplication of, so much of such securities as has a value equal to the amount remaining available and collectible under the Bond.

2. Books of Accounts and Records

In case of loss of or damage to **Property** consisting of books of account or other similar records used by the **Assured** in the conduct of its business the Underwriters shall be liable under this Bond only if such books and records are actually reproduced and then for not more than the cost of blank books, blank pages or other materials plus the cost of labor for the actual transcript or copying of data which shall have been furnished by the **Assured** in order to reproduce such books and other records.

3. Electronic or Photographic Records

In case of loss of or damage to **Property** consisting of electronic or photographic records the Underwriters shall be liable under this Bond only if such records are actually reproduced and then for not more than the cost of replacing such records with blank media of the same or similar type plus the cost of labor for the actual transcription or copying of data which shall have been provided by the **Assured** for the reproduction of such records.

4. Electronic Data Processing Media

In case of loss of, or damage to, **Electronic Data Processing Media** used by the **Assured** in its business, Underwriters shall be liable under this Bond only if such items are actually reproduced by other **Electronic Data Processing Media** of the same kind or quality and then for not more than the cost of the blank media plus the cost of labor for the actual transcription or copying of data which shall have been furnished by the **Assured** in order to reproduce such **Electronic Data Processing Media**, subject, of course, to the applicable Limit of Indemnity.

5. Electronic Data

In case of loss of **Electronic Data** Underwriters shall be liable under this Bond only if such data is actually reproduced by other **Electronic Data** of the same kind or quality and then for not more than the cost of labor for the actual transcription or copying of data which shall have been furnished by the **Assured** in order to reproduce such **Electronic Data** subject, of course, to the applicable Limit of Indemnity.

6. Indemnification To Investor

In the event that the **Assured** is required to repurchase a **Real Estate Loan** as the result of a loss covered under Insuring Clause A1 or A5 Underwriters shall be liable under this Bond only for an amount which does not exceed the outstanding principal balance of said **Real Estate Loan**.

In the event that the **Assured** is required to indemnify an **Investor** as the result of a loss covered under Insuring Clause A1 or A5 Underwriters shall be liable under this Bond only for an amount which does not exceed the outstanding principal balance of said **Real Estate Loan**.

R. Lost Instruments or Real Estate Documents

In the event of a claim in respect of a loss covered under this Bond of an instrument or original **Real Estate Documents** or original **Closing Documents**, the **Assured** shall, subject to the conditions stated below, first attempt to secure the replacement of the lost instrument or original **Real Estate Documents** or original **Closing Documents** by use of a letter of indemnity issued by it. In the event that it is unable to secure the replacement of lost original **Real Estate Documents** or original **Closing Documents** by a letter of indemnity, the **Assured** shall attempt to replace the lost original **Real Estate Documents** or original **Closing Documents** in accordance with the coverage for replacement expenses under Insuring Clause A10. If the **Assured** is unable to replace said lost instrument or original **Real Estate Documents** or original **Closing Documents**, the **Assured** shall, subject to the Underwriters' prior consent being obtained, secure a lost instrument bond for the purpose of obtaining the issuance of a duplicate instrument or original **Real Estate Documents** or original **Closing Documents**.

It is further agreed that Underwriters will indemnify the **Assured** for such sum or sums, in excess of the applicable Deductible as stated in Item 5[a] of the Schedule, not exceeding the amount of the Aggregate Limit of Indemnity stated in Item 3[a] of the Schedule, or any applicable sub-limit thereof with respect to such loss, remaining available for the payment of any loss at the time of the execution by the **Assured** of a letter of indemnity or the securing of the lost instrument bond, which the **Assured** may be required to pay either during the **Bond Period** or any time thereafter by reason of any indemnifying agreement executed by the **Assured** or delivered by the **Assured** to the company issuing the lost instrument bond.

It is further agreed that the **Assured** shall bear for its own account the cost of obtaining such indemnity agreement or lost instrument bond for that portion of the loss which falls within the applicable Deductible as stated in Item 5[a] of the Schedule or which is in excess of the Aggregate Limit of Indemnity remaining available for the payment of said loss or in excess of any applicable sub-limit remaining available for the payment of said loss. The Underwriters shall bear for their own account the cost of obtaining such indemnity agreement or lost instrument bond for that loss which would be covered and which exceeds the Deductible and is within the Aggregate Limit of Indemnity or applicable sub-limit remaining available for the payment of any loss.

S. Computation of Loss

In determining the amount collectible under this Bond for any loss, all money received from any source whatsoever subsequent to the first act, error or accidental omission or circumstance causing or contributing to a loss hereunder, including payments and receipts of principal, interest, dividends, commissions and the like whenever received shall be deducted from the amount actually paid out, advanced, withdrawn, taken or otherwise lost. The value of all property received from any source whatsoever and whenever received shall likewise be deducted from the **Assured**'s claimed loss. Additionally, the premiums which should have been paid for any insurance which the **Assured** failed to provide are to be deducted from the amount of the loss. In determining the amount of any loss the **Assured** shall be required at its own expense to foreclose on any mortgage or lien against any property in question.

T. Salvage and Recovery

In case of recovery on account of any loss paid under this bond, any amount recovered, after deducting the reasonable cost of obtaining or making such recovery (excluding, however, the **Assured**'s own employee costs), shall be applied, first, to reimburse the **Assured** in full for that part, if any, of such loss which exceeds the amount of coverage provided by this Bond, secondly, the balance, if any, or the entire net recovery if no part of such loss exceeds the amount of coverage provided by this bond, shall be applied to the Underwriters in reduction of that part of such loss covered by this Bond or, if payment thereof shall have been made, to the reimbursement of the Underwriters and finally, to that part of such loss sustained by the **Assured** by reason of any Deductible in this Bond and or to that part of such loss covered by any policy of insurance of which this Bond is excess.

U. Loss Payee

It is agreed that in connection with any loss recoverable under Insuring Clauses A1 or C1[e] of this Bond which involves the interest of a **Secondary Market Institution** or **Warehouse Lender** or **Investor**, upon written request of the **Assured** or the **Secondary Market Institution** or **Warehouse Lender** or **Investor,** Underwriters will name both the **Assured** and the **Secondary Market Institution** or **Warehouse Lender** or **Investor** as a Loss Payee on the applicable check issued in payment of said loss, provided, however, that the amount of said draft is greater than $10,000 excess of the applicable deductible.

It is agreed that, in connection with any loss recoverable by a **Secondary Market Institution** or **Warehouse Lender** under Insuring

Clauses B1, C1[b], C1[d], or C2 of this Bond, Underwriters will name the **Secondary Market Institution** or **Warehouse Lender** as the sole Loss Payee on the applicable check issued in payment of said loss.

It is agreed that, in connection with any loss recoverable by an **Investor** under Insuring Clauses C1[b], C1[d] or C2 of this Bond, Underwriters will name the Investor as the sole Loss Payee on the applicable check issued in payment of said loss.

V. Subrogation

It is agreed that the Underwriters upon the payment of any loss hereunder shall become subrogated to all the rights and remedies of the **Assured** in respect of such loss. At the request of the Underwriters the **Assured** shall execute such documents as are necessary to transfer the **Assured**'s rights, title and interest as against any person or entity and suit may be brought in the **Assured**'s name. The **Assured** shall cooperate with the Underwriters in all matters pertaining to Underwriters' efforts to effect any recoveries.

W. Action Against Service Bureau or Other Mortgage Banker, Etc.

This Bond does not afford coverage in favor of any **Service Bureau**, **Designated Agent**, mortgage banker or financial institution, and upon payment to the **Assured** by the Underwriters on account of any loss through fraudulent or dishonest acts committed by any of the partners, directors, officers or employees of such **Service Bureau, Designated Agent**, mortgage banker or financial institution whether acting alone or in collusion with others, or error or omission by a **Designated Agent**, an assignment of such of the **Assured**'s rights and causes of action as they may have against such **Service Bureau**, **Designated Agent**, mortgage banker or financial institution by reason of such acts so committed shall, to the extent of such payment, be given by the **Assured** to the Underwriters, or to one of the Underwriters designated by the Underwriters, and the **Assured** shall execute all papers necessary to secure to the Underwriters, or to one of the Underwriters designated by Underwriters, the rights herein provided for.

X. Warranty

1. For the purposes of all Sections:

If the **Assured** shall make any claim knowing the same to be false or fraudulent, as regards amount or otherwise, this Bond shall become void and all claim hereunder shall be forfeited.

The **Assured** must promptly notify Bankers Insurance Service of any change in any fact which materially affects the risk assumed by the Underwriters under this Bond.

It is warranted that the particulars and statements contained in the application for this Bond, a copy of which is attached hereto, are the basis of this Bond and are to be considered as incorporated into and constituting a part of this Bond.

By acceptance of this Bond the **Assureds** agree:

[i] that the statements in the application for this Bond are their representations, that they shall be deemed material to the acceptance of the risk or the hazard assumed by Underwriters under this Bond and that this Bond is issued in reliance upon the truth of such representations;

[ii] that in the event that the application for this Bond contains misrepresentations made with the actual intent to deceive, or contains misrepresentations which materially affect either the acceptance of the risk or the hazard assumed by Underwriters under this Bond, this Bond in its entirety shall be void and of no effect whatsoever; and

[iii] that this Bond shall be deemed to be a single unitary contract and not a severable contract of insurance or a series of individual contracts of insurance with each of the **Assureds**.

EXCLUSIONS

THIS BOND DOES NOT COVER:

1. [a] Any loss involving any dishonest or fraudulent act or **Theft** by any **Employee** of the **Assured**, except when covered under Insuring Clauses A1 or B1.

   [b] Any loss arising out of, or resulting, directly or indirectly, from any dishonest or fraudulent act or **Theft** by any **Attorney** or **Loan Closing Agen**t, except when covered under Insuring Clause A1[c] or B1.

   [c] Any loss arising out of, or resulting, directly or indirectly, from any dishonest or fraudulent act or **Theft** by any **Designated Agent**.

   [d] Any loss involving any act of any director of the **Assured**, except while performing the duties of an **Employee** of the **Assured**.

   [e] Any loss involving any act of any partner, **Sole Proprietor** or **Major Shareholder** of the **Assured**, except when covered under Insuring Clauses B1, C1 or C2.

2. Any loss involving forgery or alteration, except when covered under Insuring Clauses A1, A4, A5 or B1.

3. Any loss involving the complete or partial non-payment of, or default upon

   [a] any loans or transactions in the nature of, or amounting to, loans made by or obtained from the **Assured**, including all extensions of credit and all debtor-creditor relationships, whether procured in good faith or through trick, artifice, fraud or false pretenses, or

   [b] any note, account, agreement or other evidence of debt assigned or sold to, or discounted or otherwise acquired by the **Assured**, whether procured in good faith or through trick, artifice, fraud or false pretenses,

   except a **Real Estate Loan** when covered under Insuring Clause A1 and resulting in the receipt of Improper **Personal Financial Gain** for said **Employee** or any person acting in collusion with said **Employee** or under Insuring Clause A5 or A8 or B1.

4. [a] Any loss or damage resulting directly or indirectly from war, civil war, insurrection, military, naval or usurped power, in the United States of America or elsewhere; and, in addition, for any loss or damage resulting directly or indirectly from riot or civil commotion in countries other than the United States of America or Canada. However, subject always to the exclusion of war or civil war, if any **Property** insured hereunder be lost or damaged by reason of riot, civil commotion, insurrection, military, naval or usurped power, while in transit in the circumstances recited in Insuring Clause 3, such loss shall not be excluded from the protection of this Bond by reason of this exclusion, provided that when such transit was initiated there was no knowledge of such riot, civil commotion, insurrection, military, naval or usurped power on the part of any person who acted for the **Assured** in initiating such transit.

   [b] Any loss or damage resulting directly or indirectly from subterranean fire, earthquake, volcanic eruption or such like disturbance of nature in the United States of America or elsewhere; except that this exclusion shall not apply to claims under Section C in the event of loss by fire or explosion resulting from earthquake if the **Assured** is legally liable to an **Investor** or mortgagor in failing to obtain insurance covering such fire or explosion resulting from earthquake.

5. Any loss or damage in time of peace or war arising directly or indirectly from nuclear reaction, nuclear fission or fusion, radiation or radioactivity or toxic waste, seepage, pollution or contamination, howsoever caused.

6. Any loss resulting directly or indirectly from **Trading** with or without the knowledge of the **Assured** and whether in the name of the **Assured** or otherwise and whether or not committed by an **Employee**, except when covered under Insuring Agreement A1[a] or A1[b] and then only while **Trading** on behalf of and in the name of the **Assured** and resulting in the receipt of **Improper Personal Financial Gain** for the **Employee** or any person acting in collusion with said **Employee**.

7. Any loss or deprivation of actual or potential income or profit, including but not limited to interest and dividends, whether payable to an **Investor** or otherwise, except such loss as covered by Insuring Clause A1 or Insuring Clause B1, and which represents in whole or in part interest payments actually received by the **Assured** on a **Real Estate Loan** and which interest payments were not remitted by the **Assured** to a **Secondary Market Institution** or **Warehouse Lender**.

8. Any and all damages of any type whether punitive, exemplary or other for which the **Assured** is legally liable, including damages awarded pursuant to Racketeer Influenced Corrupt Organizations Act or similar state or federal statutes except direct compensatory damages (but not multiples thereof) representing reimbursement for direct loss covered by this Bond.

9. Any loss involving payments made by the **Assured** against negotiable instruments received by the **Assured** which are not finally paid for any reason, whether such payments were procured in good faith or through forgery, trick, artifice, fraud or false pretenses of any other means, except when covered under Insuring Clauses A1, A5, A9 and B1.

10. Any loss involving the surrender of **Property** as a result of a threat to do bodily harm to any person, or to do damage to any premises or any property whatsoever of the **Assured** or otherwise, except when

    [a] such threat is perpetrated by or in collusion with an **Employee** and such loss of **Property** is covered under Insuring Clause A1, or

    [b] such loss is covered under Insuring Clause A2 by reason of the surrender of **Property** taking place on the **Premises** as a direct result of a threat to do bodily harm to a person actually present on the Premises, or

    [c] such loss is covered under Insuring Clause A3 by reason of the surrender of **Property** taking place in transit as a direct result of a threat to do bodily harm to the transporting person or persons provided that when the transit was initiated, there was no knowledge by the **Assured** of any such threat.

11. Costs, fees and other expenses incurred by the **Assured** in establishing, or attempting to establish, the existence of or amount of loss covered by this Bond, except when covered under Insuring Clause A9.

12. Any loss where the **Assured** has been unable to acquire insurance or guarantee coverage because said coverage is unavailable or involving the negligence of the **Assured** concerning the appropriate form, security, terms, conditions or provisions of insurance or guarantee; except when covered under Insuring Clause C1[a], C1[b], C1[c], C1[d], C2[a] or C2[b].

13. Any loss arising out of the bankruptcy or failure of any insurance company, including the loss of or unavailability of insurance coverage due to said bankruptcy or failure, except that this exclusion shall not apply to those loans agreed to be covered under Insuring Clause C2(b).

14. With respect to Insuring Clauses C1 and C2, any loss arising from the **Assured**'s activities as an insurance agent or otherwise where the **Assured**'s interest or involvement in the subject insurance is not that of a mortgagee or mortgage servicing agent.

15. Any loss resulting directly or indirectly from contractual or extra-contractual liability sustained by the **Assured** in connection with the issuance of contracts or purported contracts of insurance.

16. Any loss involving any forgery, trick, artifice, fraud or false pretenses except when covered under Insuring Clauses A1, A4, A5, A6, A7, A8 or B1.

17. Any loss, arising out of or resulting, directly or indirectly, from

    [a] any actual or alleged duty to repurchase, or
    [b] any actual or alleged duty to pay any indemnity, or
    [c] any actual or alleged duty to pay any damages

    asserted by an **Investor**, purchaser or lender with respect to any loan, transaction in the nature of a loan or other extension of credit; except when covered under Insuring Clauses A1, A5[b], B1, C1[b], C1[d], C1[e], C1[f], C1[g] or C2.

18. Any loss directly or indirectly involving the ownership, maintenance, operation, use, loading or unloading of

[i] motor vehicles,

[ii] aircraft or

[iii] watercraft to the extent said watercraft is excluded from coverage under **Homeowner's Insurance**.

19. Any loss arising out of the failure to obtain or maintain title insurance.

20. Any loss of **Electronic Data Processing Media** or **Electronic Data** while in the mail or with a carrier for hire other than an armored motor vehicle company or Federal Express or similar common carriers.

21. Any loss of **Electronic Data** or **Electronic Data Processing Media** except as provided for under General Condition Q.

22. With respect to Insuring Clause A6 any loss caused by an identifiable **Employee** of the **Assured** or by a person or persons in collusion with any **Employee** of the **Assured**.

Prior knowledge by any **Employee** that a fraudulent act by a person or persons, not in the employ of the **Assured**, has been or will be perpetrated, shall for the intent and purpose of this Bond be deemed to be collusion should said **Employee** willfully or deliberately withhold this knowledge from the **Assured**. The withholding of knowledge from the **Assured** by an **Employee** because of a threat to do bodily harm to any person or to do damage to the premises or property of the **Assured** shall not be deemed to be or to constitute collusion.

23. With respect to Insuring Clause A6, any loss resulting directly or indirectly from

[i] **[a]** written instructions or advices, or

[b] telegraphic or cable instructions or advices

[ii] the accessing or use of any confidential information including but not limited to trade secret information, computer programs or customer information except to the extent that such confidential information is used to support or facilitate the commission of an act covered under Insuring Clause A6.

[iii] mechanical failure, faulty construction, error in design, latent defect, wear or tear, gradual deterioration, electrical disturbance, **Electronic Data Processing Media** failure or breakdown or any malfunction or error in programming or errors or omissions in processing.

[iv] or as a result of a threat

[a] to do bodily harm to any person, except loss of **Electronic Data Processing Media** in transit in the custody of any person acting as messenger provided that when such transit was initiated there was no knowledge by the **Assured** of any such threat, or

[b] to do damage to the premises or property of the **Assured**.

[v] fraudulent features contained in **Electronic Computer Programs** developed for sale to or that are sold to multiple customers at the time of their acquisition from a vendor or consultant.

24. With respect to Insuring Clause A6, any loss resulting directly or indirectly from fictitious, forged, fraudulently altered, counterfeit or fraudulent documents, written or printed instruments or instructions, negotiable instruments or certificated securities in physical form used as source documentation in the creation, preparation or modification of **Electronic Data** or electronic communications.

25. With respect to Insuring Clause A6, any loss resulting directly or indirectly from the **Assured** having acted or relied upon documents, written or printed instruments or instructions negotiable instruments or certificated securities provided in physical form by a third party to the **Assured**.

26. With respect to Insuring Clause A6, any loss resulting directly or indirectly from the **Assured** having acted or relied upon **Electronic Data** (including **Electronic Data** contained in an third party originated electronic communication) provided to the **Assured** which **Electronic Data** represents fictitious, dishonest or fraudulent:

[a] financial accounts or financial records;

[b] statements of account;

[c] valuations of investments or real property; or

[d] other statements of condition intended to obtain or gain access to:

[i] a loan or guarantee;

[ii] actual or committed investment funds;

[iii] the proceeds of insurance or assurance policies;

held by, or from, the **Assured**.

27. Any loss resulting directly or indirectly from any **Computer Virus** unless covered under Insuring Clause A6.

28. Any loss resulting directly or indirectly from counterfeiting, except when covered under Insuring Clauses A1, A5 or A7.

29. Any indirect or consequential loss of any nature, except when covered under Insuring Clauses A1, A5[b], B1, C1[d] or C2.

30. Costs, fees and other expenses incurred in respect o notifications or credit monitoring services (or any other costs required by applicable data protection laws) in respect of customers affected by an unauthorised appropriation and/or disclosure of the **Assured**'s data.

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No**. 1
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

GNMA ENDORSEMENT

It is hereby understood and agreed that in the event of a loss affecting the interest of the Government National Mortgage Association, the Government National Mortgage Association, its successors and assigns, shall be named on the loss payable draft as their interests may appear.

Should this Endorsement be cancelled for any reason during the **Bond Period,** we, the undersigned, will endeavor to give notice to the Government National Mortgage Association but failure to give such notice shall impose no obligation of any kind upon the undersigned or upon the Underwriters.

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No**. 2
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

FANNIE MAE NOTIFICATION ENDORSEMENT

It is hereby understood and agreed that the attached Bond is amended as follows:

If the Bond is canceled, terminated or the Aggregate Limits of Indemnity are reduced for any reason other than payment of loss during the **Bond Period**, we, the undersigned, will endeavor to give thirty (30) days written notice to the Federal National Mortgage Association (Fannie Mae) located at Midtown Center 1100 15th Street, NW Washington, DC 20005. Failure to give such notice shall impose no obligation of any kind upon the undersigned or the Underwriters.

It is further understood and agreed that:

If the Bond is canceled, terminated or the Aggregate Limits of Indemnity are reduced at the request of the **Named Assured**, we, the undersigned, will endeavor to give ten (10) days written notice to the Federal National Mortgage Association (Fannie Mae) located at Midtown Center 1100 15th Street, NW Washington, DC 20005. Failure to give such notice shall impose no obligation of any kind upon the undersigned or upon the Underwriters.

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY:

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 3
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

GENERAL LOSS PAYEE ENDORSEMENT
(ALL CLAUSES)

It is hereby understood and agreed that, in the event of a loss affecting the interest of Commissioner of the Connecticut Banking Department, 260 Constitution Plaza, Hartford, CT 06103 , then Commissioner of the Connecticut Banking Department shall be named on the loss payable draft as its interest may appear.

Commissioner of the Connecticut Banking Department

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ____________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 4
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

GENERAL LOSS PAYEE ENDORSEMENT
(ALL CLAUSES)

It is hereby understood and agreed that, in the event of a loss affecting the interest of NJ Housing and Mortgage Finance Agency, 637 South Clinton Avenue, Trenton, NJ 08650-2084 , then NJ Housing and Mortgage Finance Agency shall be named on the loss payable draft as its interest may appear.

NJ Housing and Mortgage Finance Agency

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 5
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

GENERAL LOSS PAYEE ENDORSEMENT
(ALL CLAUSES)

It is hereby understood and agreed that, in the event of a loss affecting the interest of Fannie Mae, 3900 Wisconsin Ave NW, Washington, DC 20016-2892 , then Fannie Mae shall be named on the loss payable draft as its interest may appear.

Fannie Mae

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 6
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

GENERAL LOSS PAYEE ENDORSEMENT
(ALL CLAUSES)

It is hereby understood and agreed that, in the event of a loss affecting the interest of The Superintendent of Financial Services of the State of New York, One State Street, New York, NY 10004-1511 , then The Superintendent of Financial Services of the State of New York shall be named on the loss payable draft as its interest may appear.

The Superintendent of Financial Services of the State of New York

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 7
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

GENERAL LOSS PAYEE ENDORSEMENT
(ALL CLAUSES)

It is hereby understood and agreed that, in the event of a loss affecting the interest of New Jersey Department of Banking & Insurance, 20 West State Street, 8th Floor, Trenton, NJ 08608 , then New Jersey Department of Banking & Insurance shall be named on the loss payable draft as its interest may appear.

New Jersey Department of Banking & Insurance

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY:

Coverage: MORTGAGE BANKERS BOND		
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 8
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

SPECIFIC WAREHOUSE LENDER LOSS PAYEE/RIGHT OF ACTION ENDORSEMENT
TO ADD A SPECIFICALLY APPROVED WAREHOUSE LENDER
UNDER INSURING CLAUSE B1[b]

It is hereby understood and agreed that, in the event of a loss affecting the interest of Texas Capital Bank, 2350 Lakeside Boulevard, Suite 310, Richardson, TX 75082, then Texas Capital Bank shall be named on the loss payable draft as its interest may appear.

Texas Capital Bank

Further, it is understood and agreed that the above named **Warehouse Lender** is hereby provided access to coverage found under Insuring Clause B1**[b]**, subject to all the terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond.

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 9
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

SPECIFIC WAREHOUSE LENDER LOSS PAYEE/RIGHT OF ACTION ENDORSEMENT
TO ADD A SPECIFICALLY APPROVED WAREHOUSE LENDER
UNDER INSURING CLAUSE B1[b]

It is hereby understood and agreed that, in the event of a loss affecting the interest of Bank of Montreal, 111 West Monroe Street, Chicago, IL 60603, then Bank of Montreal shall be named on the loss payable draft as its interest may appear.

Bank of Montreal

Further, it is understood and agreed that the above named **Warehouse Lender** is hereby provided access to coverage found under Insuring Clause B1**[b]**, subject to all the terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond.

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY:

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 10
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

SPECIFIC WAREHOUSE LENDER LOSS PAYEE/RIGHT OF ACTION ENDORSEMENT
TO ADD A SPECIFICALLY APPROVED WAREHOUSE LENDER
UNDER INSURING CLAUSE B1[b]

It is hereby understood and agreed that, in the event of a loss affecting the interest of EverBank (formerly TIAA), 301 West Bay Street, Jacksonville, FL 32202, then EverBank (formerly TIAA) shall be named on the loss payable draft as its interest may appear.

EverBank (formerly TIAA)

Further, it is understood and agreed that the above named **Warehouse Lender** is hereby provided access to coverage found under Insuring Clause B1**[b]**, subject to all the terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond.

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY:

Coverage: MORTGAGE BANKERS BOND		
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 11
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

SPECIFIC WAREHOUSE LENDER LOSS PAYEE/RIGHT OF ACTION ENDORSEMENT
TO ADD A SPECIFICALLY APPROVED WAREHOUSE LENDER
UNDER INSURING CLAUSE B1[b]

It is hereby understood and agreed that, in the event of a loss affecting the interest of Western Alliance Bank, 2701 East Camelback RoadSuite 110, Phoenix, AZ 85016, then Western Alliance Bank shall be named on the loss payable draft as its interest may appear.

Western Alliance Bank

Further, it is understood and agreed that the above named **Warehouse Lender** is hereby provided access to coverage found under Insuring Clause B1**[b]**, subject to all the terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond.

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY:

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 12
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

SPECIFIC WAREHOUSE LENDER LOSS PAYEE/RIGHT OF ACTION ENDORSEMENT
TO ADD A SPECIFICALLY APPROVED WAREHOUSE LENDER
UNDER INSURING CLAUSE B1[b]

It is hereby understood and agreed that, in the event of a loss affecting the interest of Truist Bank, 201 East Pine StreetSuite 600, Orlando, FL 32801, then Truist Bank shall be named on the loss payable draft as its interest may appear.

Truist Bank

Further, it is understood and agreed that the above named **Warehouse Lender** is hereby provided access to coverage found under Insuring Clause B1**[b]**, subject to all the terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond.

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 13
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

SPECIFIC WAREHOUSE LENDER LOSS PAYEE/RIGHT OF ACTION ENDORSEMENT
TO ADD A SPECIFICALLY APPROVED WAREHOUSE LENDER
UNDER INSURING CLAUSE B1[b]

It is hereby understood and agreed that, in the event of a loss affecting the interest of Prosperity Bank its successors and/or assigns, 1301 N. MechanicPO Drawer G, El Campo, TX 77437, then Prosperity Bank its successors and/or assigns shall be named on the loss payable draft as its interest may appear.

Prosperity Bank its successors and/or assigns

Further, it is understood and agreed that the above named **Warehouse Lender** is hereby provided access to coverage found under Insuring Clause B1**[b]**, subject to all the terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond.

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY:

Coverage: MORTGAGE BANKERS BOND		
Assured: Cardinal Financial Company, Limited Partnership		**Endorsement No**. 14
Policy Number: MBBA-24-00390		**Effective Date:** June 30, 2025

SUB-LIMIT FOR INSURING CLAUSE B1

It is hereby understood and agreed that with respect to any coverage under Insuring Clause B1, the following Sub-Limit in the Aggregate for the **Bond Period**, applicable to the Aggregate Limit of Indemnity for the **Bond Period** stated in Item 3[a] of the Schedule, applies to **Theft** by any **Loan Closing Agent** or **Attorney**:

$2,000,000

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY:

Coverage: MORTGAGE BANKERS BOND		
Assured: Cardinal Financial Company, Limited Partnership		**Endorsement No**. 15
Policy Number: MBBA-24-00390		**Effective Date:** June 30, 2025

COMPUTER MANIPULATION WITH SOCIAL ENGINEERING FRAUD ENDORSEMENT

In consideration of the premium charged for this Policy, it is hereby understood and agreed that the following shall apply:

Item 4.[a] Insuring Clause A6 Computer Manipulation of the SCHEDULE is deleted in its entirety and replaced by the following:

(1) **Insuring Clause A6** Computer Manipulation

(a) $20,000,000

(b) $1,000,000

ITEM 5[a] Insuring Clause A6 Computer Manipulation of the SCHEDULE is deleted in its entirety and replaced by the following:

Insuring Clause A6 Computer Manipulation

(a) $50,000

(b) $50,000

(2) Insuring Clause A6 Computer Manipulation is deleted in its entirety and replaced by the following:

Direct financial loss sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by

[a] **Computer Manipulation** which was committed by any person acting alone or in collusion with others,

[b] the **Assured** having transferred, paid or delivered any funds or **Property**, established any credit, debited any account, or gave any value on the faith of a **Fraudulent Impersonation** contained within an **Electronic Communication** which was

[i] transmitted through the internet into the **Assured's Computer System** or via telephone text messaging; and

[ii] purported to have originated from any customer, **Employee, Vendor** or any financial institution with whom the **Assured** has a contract; and

[iii] **Verified.**

(3) The following Definitions are added under Definitions:

[se1] **Electronic Communication** means any electronic communication including but not limited to e-mail, instant message and social media related communications.

[se2] **Fraudulent Impersonation** means the intentional and fraudulent deceiving of an **Employee** authorized by the **Assured** to transfer, pay, deliver or receive funds or **Property** by a **Fraudulent Impersonator** to believe that such **Fraudulent Impersonator** is a person authorized to instruct or advise the **Assured** to authorize, direct or acknowledge the transfer, payment, delivery or receipt of funds or **Property**.

[se3] **Fraudulent Impersonator** only means a natural person purporting to be another natural person for the intentional and fraudulent purpose of deceiving an **Employee** of the **Assured**.

[se4] **Vendor** means any entity or individual which has a written agreement with the **Assured** for the provision of products or services by such entity or individual to the **Assured** in return for a financial consideration.

[se5] **Verified** means a method of authenticating the contents of a communication by

[i] affixing thereto a valid test key which has been exchanged between the **Assured** and a customer, financial institution, **Vendor** or between offices or departments of the **Assured**, for the purpose of protecting the integrity of the communication; or

[ii] a call back to a person other than the person who initiated the instructions or advices and who is authorized to initiate or approve the transmission of such communication; or

[iii] the use of a digital signature; or

[iv] the use of a username and password (including one-time SMS passwords) or PIN; or

[v] biometric authentication, symmetric-key authentication, or any other recognized two-factor system for e-authentication.

(4) Solely with respect to the coverage afforded under Insuring Clause A6[b], Exclusion 23[i] is deleted

(5) Solely with respect to the coverage afforded under Insuring Clause A6[b], Exclusion 26 is deleted.

All other terms, conditions and limitations remain unaltered.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No**. 16
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

AMENDMENT TO CONDITION M.1.

In consideration of the premium charged for this Policy, it is hereby understood and agreed that CONDITION M.1. is deleted in its entirety and replaced by the following:

M. Termination

1. This Bond shall terminate as an entirety upon the earliest occurrence of any of the following:

[a] sixty (60) days after the receipt by the **Assured** of a written notice from the Underwriters of their decision to terminate this Bond; or

[b] immediately upon the receipt by the Underwriters of a written notice from the **Assured** of its decision to terminate this Bond, provided however that as to:

[i] Insuring Clauses A5[b], B1, C1 and C2[a], or

[ii] claims first made against the Assured by an Investor covered under Insuring Clause C1[b], C1[d] or C1[e]

coverage shall terminate twenty-one (21) days after receipt of said notice. Such additional period of time shall not increase the Aggregate Limit of Indemnity under Item 3[a] or 3[b], or

[c] immediately upon the appointment of a receiver, liquidator, conservator or rehabilitator or any similar official for or with respect to the **Assured**, or

[d] immediately upon the exhaustion of the Aggregate Limits of Indemnity stated in Item 3 of the Schedule, or

[e] at 12:01 a.m. on the expiration date stated in Item 2 of the Schedule, or

[f] immediately upon failure to pay the premium within thirty (30) days of inception of the **Bond Period** which termination shall be effective as of the inception date of the **Bond Period**.

In the event of termination the Underwriters shall, on request, refund to the **Assured** the unearned premium, computed as follows:

[i] termination as stated in [a] — return premium computed at pro rata, or

[ii] termination as stated in [b] or [c] — return premium computed at short rate

However, in the event this Bond terminates as a result of an event described in Condition M.1.[c] the Government National Mortgage Association (Ginnie Mae) shall have 90 days from the date of termination in which to report a claim or loss involving Ginnie Mae's interest but only for claims made against the **Assured** and losses that occurred during the **Bond Period** and prior to the termination date. All such claims shall be reported to the entity listed in Item 8. of the declarations.

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No**. 17
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

FEDERAL HOME LOAN MORTGAGE CORPORATION (FREDDIE MAC)
NOTIFICATION ENDORSEMENT

It is hereby understood and agreed that the Policy is amended as follows:

> If the Policy is canceled, terminated or the Annual Aggregate Limit of Indemnity for any contract year reduced for any reason other than payment of loss during the Policy period, we, the undersigned, will endeavor to give thirty (30) business days written notice to the Federal Home Loan Mortgage Corporation (Freddie Mac) located at 8200 Jones Branch Drive, McLean, VA 22122-3100. Failure to give such notice shall impose no obligation of any kind upon the undersigned or upon the Insurers.

It is further agreed that:

> If the Underwriters reduces or restrictively modifies the Assured(s) coverage or if the policy is canceled or is non-renewed at the request of the Assured(s), we, the undersigned, will endeavor to give ten (10) business days written notice to the Federal Home Loan Mortgage Corporation (Freddie Mac) located at 8200 Jones Branch Drive, McLean, VA 22122-3100. Failure to give such notice shall impose no obligation of any kind upon the undersigned or upon the Insurers.

It is further agreed that:

> If there is a paid loss under a Section of this policy to which this endorsement attaches of more than fifty-percent (50%) of the aggregate limit of liability, we, the undersigned, will endeavor to give ten (10) business days written notice to the Federal Home Loan Mortgage Corporation (Freddie Mac) located at 8200 Jones Branch Drive, McLean, VA 22122-3100. Failure to give such notice shall impose no obligation of any kind upon the undersigned or upon the Insurers.

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ____________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No**. 18
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

GOVERNMENT NATIONAL MORTGAGE ASSOCIATION
NOTIFICATION ENDORSEMENT

It is hereby understood and agreed that the Policy is amended as follows:

If the policy is cancelled, non-renewed or restrictively modified by the Underwriter, the Underwriter will endeavor to give thirty (30) business days written notice to the Government National Mortgage Association (Ginnie Mae), but failure to give such notice shall impose no obligation of any kind upon the undersigned or upon the Insurers.

All other terms, conditions and limitations remain unaltered.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No.** 19
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

AMENDMENT TO POLICY LANGUAGE ENDORSEMENT

IT IS HEREBY AGREED AND UNDERSTOOD that this policy shall be amended as follows:

(1) Insuring Clause A1 is deleted in its entirety and replaced with the following:

DISHONESTY
INSURING CLAUSE A1

Direct financial loss sustained by the **Assured** at any time and discovered by the **Assured** during the **Bond Period** by reason of and directly caused by

[a] **Theft** of **Money**, **Securities** and other **Property** by any **Employee** of the **Assured**, whether committed alone or in collusion with others, or

[b] any other dishonest or fraudulent acts by any **Employee** of the **Assured**, whether committed alone or in collusion with others, committed by said **Employee** with the manifest intent to

(1) cause the **Assured** to sustain such loss, or

(2) obtain **Improper Personal Financial Gain** for said **Employee,** or for any other person or entity intended by the **Employee** to receive such I**mproper Personal Financial Gain**, or

[c] dishonest or fraudulent acts by an **Attorney** or **Loan Closing Agent**, whether committed alone or in collusion with others, while said **Attorney,** or **Loan Closing Agent,** is in the course of performing loan services in connection with a **Real Estate Loan** originated by or acquired by the **Assured** or while providing services in relation to real estate owned properties obtained through foreclosure and which dishonest or fraudulent acts were committed by said **Attorney,** or **Loan Closing Agent**, with the manifest intent to

(1) cause the **Assured** to sustain such loss, or

(2) obtain **Improper Personal Financial** gain and which resulted in the receipt of such Improper **Personal Financial Gain** for said **Attorney**, or **Loan Closing Agent**.

(2) Insuring Clause B1[a] is deleted in its entirety and replaced with the following:

THEFT OF MONEY OR COLLATERAL
INSURING CLAUSE B1

[a] Theft of Secondary Market Institution's Money or Collateral

Loss by reason of any claim first made against the **Assured** during the **Bond Period** by any **Secondary Market Institution** for the direct financial loss sustained by such **Secondary Market Institution** as the direct result of **Theft,** dishonesty, or fraud by any partner, **Sole Proprietor**, **Major Shareholder**, director, **Loan Closing Agent**, **Attorney**, or **Employee** of the **Assured**, whether committed alone or in collusion with others, which results in the loss of

[i] **Money** deposited or actually received by the **Assured** and required to be deposited in a **Custodial Account** maintained for the **Secondary Market** Institution by the **Assured** which **Money**

[a] was deposited with or paid to the **Assured** by said **Secondary Market Institution** for the purpose of purchasing a **Real Estate Loan** for said **Secondary Market Institution**, or

[b] was collected or received by the **Assured** for said **Secondary Market Institution** in connection with a **Real Estate Loan** which the **Assured** is servicing for said **Secondary Market Institution**, or

[ii] **Collateral** held by the **Assured** for

[a] a **Secondary Market Institution** in connection with a **Real Estate Loan** but which **Collateral** has been fraudulently pledged or sold to another person(s) or entity(ies), or

[b] another person(s) or entity(ies) in connection with a **Real Estate Loan** but which **Collateral** has been fraudulently pledged or sold to a **Secondary Market Institution** provided, however, that the **Assured** is held to be legally liable to said **Secondary Market Institution** for the loss of such **Money** or **Collatera**l.

Special Conditions:

It is agreed that as a condition precedent to coverage under this Insuring Clause B1[a] that

[a] the **Secondary Market Institution** shall require an annual audit by way of the Uniform Single Attestation Program for Mortgage Bankers or otherwise of the **Custodial Account** by a firm of independent outside accountants, and

[b] the **Secondary Market Institution** shall require that the **Assured** deliver the note and an executed and recordable assignment of the mortgage by the current record holder thereof in accordance with its customary selling or servicing procedures, as applicable, to either the **Secondary Market Institution** or a **Document Custodian** approved and designated by the **Secondary Market Institution** (which **Document Custodian** may be the **Assured** if the **Assured** meets the Secondary Market Institution's requirements for lenders permitted to hold notes on behalf of the **Secondary Market Institution**) or the **Assured** identifies said note as a note in which the **Secondary Market Institution** has an interest, and

[c] the **Secondary Market Institution** shall have maintained its customary quality control procedures with respect to the **Assured**.

Failure of the **Assured** to comply with these requirements [a], [b] and [c] by a **Secondary Market Institution** shall not void the coverage under this Insuring Clause B1[a] provided that the **Secondary Market Institution** has used its best efforts to verify that the **Assured** is complying with said requirements.

(3) Condition E. Right of Action By **Assured**, **Secondary Market Institution, Warehouse Lender** and **Investor** is deleted in its entirety and replaced with the following:

E. Right of Action by Assured, Secondary Market Institution, Warehouse Lender and Investor

1. Assured

It is agreed that the insurance granted herein shall be for the exclusive benefit only of the **Assured** named herein, and that in no event, except with regard to Insuring Clauses A1, B1, C1[b], C1[d], C1[e], and C2 stated below, shall anyone other than the **Assured** have any right of action under this Bond.

2. Secondary Market Institution / Warehouse Lender

With regard to Insuring Clauses A1, B1, C1[b], C1[d], C1[e], and C2, if a **Secondary Market Institution** or **Warehouse Lende**r makes a claim against the **Assured** during the **Bond Period**, the **Secondary Market Institutio**n or **Warehouse Lende**r may also pursue such claim directly under the Bond. In such event, the **Secondary Market Institution** or **Warehouse Lender** as a condition precedent to coverage under the Bond is required to give written notice of such claim at the earliest practicable moment but in no event later than one hundred twenty (120) days following the date such claim was made against the **Assured** and said **Secondary Market Institution** or **Warehouse Lender** shall furnish to the Underwriters proof of loss as provided in Condition I(3) of this Bond and shall comply with Conditions J and K of this Bond.

In the event the **Secondary Market Institution** or **Warehouse Lender** makes a claim under Insuring Clause A1, B1, C1[b], C1[d], C1[e] or C2, whether before or after the **Assured** has made such claim, the **Secondary Market Institution** or **Warehouse Lender** may elect to have the sole right to pursue such claim.

If it is ultimately determined by the Underwriters that any loss or losses are recoverable under Insuring Clause A1, B1, C1[b], C1[d], C1[e], or C2, then payment of said claim by the Underwriters to the **Secondary Market Institution** or **Warehouse Lender** shall discharge the Underwriters' obligation to the **Assured** under this Bond and reduce any Aggregate Limit of Indemnity remaining available to pay any further loss under this Bond.

The total liability of the Underwriters for all loss or losses is limited to the Aggregate Limit of Indemnity remaining available pursuant to Condition F irrespective of the total amount of such loss or losses sustained by the **Secondary Market Institution** or **Warehouse Lender**.

In the event of:

[a] multiple claims under this Bond one or more of which affect the interest of a **Secondary Market Institution** or **Warehouse Lender** and which claims are alleged to or appear to exceed the Aggregate Limit of Indemnity remaining available for the payment of loss under this Bond, or

[b] claims involving the same loss asserted by both a **Secondary Market Institution** or **Warehouse Lender** and a bankruptcy trustee, liquidator, receiver, conservator or rehabilitator of the **Assured** or any similar official

then payment of any claim in the sole discretion of the Underwriters may be held in abeyance until the final determination of all such claims.

Should the loss or losses recoverable under this Bond exceed the Aggregate Limit of Indemnity remaining available for the payment of such loss or losses then payment shall be made pro rata up to said remaining Aggregate Limit of Indemnity to the **Secondary Market Institution** or **Warehouse Lender** and the **Assured** according to their respective interests.

3. Investor

With regard to Insuring Clauses C1[b], C1[d] or C2, if an **Investor** makes a claim against the **Assured** during the Bond Period, the **Investor** may also pursue such claim directly under the Bond. In such event, the **Investor** as a condition precedent to coverage under the Bond is required to give written notice of such claim at the earliest practicable moment but in no event later than one hundred twenty (120) days following the date such claim was made against the **Assured** and the **Investor** shall furnish to the Underwriters proof of loss as provided in Condition I(3) of this Bond and shall comply with Conditions J and K of this Bond.

In the event the **Investor** makes a claim under Insuring Clause C1[b], C1[d] or C2, whether before or after the **Assured** has made such claim, the **Investor** may elect to have the sole right to pursue such claim.

If it is ultimately determined by the Underwriters that any loss or losses are recoverable under Insuring C1[b], C1[d] or C2, then payment of said claim by the Underwriters to the **Investor** shall discharge the Underwriters' obligation to the **Assured** under this Bond and reduce any Aggregate Limit of Indemnity remaining available to pay any further loss under this Bond.

The total liability of the Underwriters for all loss or losses is limited to the Aggregate Limit of Indemnity remaining available pursuant to Condition F irrespective of the total amount of such loss or losses sustained by the **Investor**.

In the event of:

[a] Multiple claims under this Bond one or more of which affect the interest of an **Investor** and which claims are alleged to or appear to exceed the Aggregate Limit of Indemnity remaining available for the payment of loss under this Bond, or

[b] claims involving the same loss asserted by both an **Investor** and a bankruptcy trustee, liquidator, receiver, conservator or rehabilitator of the **Assured** or any similar official

then payment of any claim in the sole discretion of the Underwriters may be held in abeyance until the final determination of all such claims.

Should the loss or losses recoverable under this Bond exceed the Aggregate Limit of Indemnity remaining available for the payment of such loss or losses then payment shall be made pro rata up to said remaining Aggregate Limit of Indemnity to the **Investor** and the **Assured** according to their respective interests.

The right of action granted to **Investor** under this Condition E shall not extend to grant to the **Investor** any right of action for loss under Insuring Clause A1.

(4) Condition U. Loss Payee is deleted in its entirety and replaced with the following:

U. Loss Payee

It is agreed that, in connection with any loss recoverable by a **Secondary Market Institution** or **Warehouse Lender** under Insuring Clauses A1, B1, C1[b], C1[d], C1[e] or C2 of this Bond, Underwriters will name the **Secondary Market Institution** or **Warehouse Lender** as the sole Loss Payee on the applicable check issued in payment of said loss.

It is agreed that, in connection with any loss recoverable by an **Investor** under Insuring Clauses C1[b], C1[d] or C2 of this Bond, Underwriters will name the **Investor** as the sole Loss Payee on the applicable check issued in payment of said loss.

(5) Definition [q] **Designated Agent** is deleted in its entirety and replaced with the following:

[q] **Designated Agent** means any corporation, partnership or natural person which has a written agreement with the **Assured** to perform the services referred to in Insuring Clause C1 and C2. Such written agreement shall set forth the terms and conditions under which the service is provided including the insurance coverage carried by said **Designated Agent** for said services.

All other terms, conditions and limitations remain unaltered.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND		
Assured: Cardinal Financial Company, Limited Partnership		**Endorsement No**. 20
Policy Number: MBBA-24-00390		**Effective Date:** June 30, 2025

MORTGAGE BANKERS BOND ADDITIONAL CLAUSES

SERVICE OF SUIT CLAUSE (U.S.A.)

(Approved by Lloyd's Underwriters' Non-Marine Association and Insurance Companies)

It is agreed that in the event of the failure of Underwriters hereon to pay any amount claimed to be due hereunder, Underwriters hereon, at the request of the insured (or reinsured), will submit to the jurisdiction of any Court of competent jurisdiction within the United States and will comply with all requirements necessary to give such Court jurisdiction and all matters arising hereunder shall be determined in accordance with the law and practice of such Court.

It is further agreed that service of process in such suit may be made upon:

Persons Nominated to accept Service of Suit against Certain Underwriters at Lloyd's London:
Lloyd's America, Inc. Attention: Legal Department 280 Park Avenue, East Tower, 25th Floor New York, NY 10017

Persons Nominated to accept Service of Suit against other Insurance Companies:
John Dearie, Locke Lord LLP Brookfield Place, 200 Vesey Street, 20th Floor New York, NY 10281-2101

and that in any suit against any one of them upon this contract, Underwriters will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

The above-named are authorized and directed to accept service of process on behalf of Underwriters in any such suit and/ or upon the request of the insured (or reinsured) that they will enter a general appearance upon Underwriters' behalf in the event such a suit shall be instituted.

Further, pursuant to statute of any state, territory or district of the United States which makes provision therefor, Underwriters hereon hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the insured (or reinsured) or any beneficiary hereunder arising out of this contract or insurance (or reinsurance), and hereby designate the above-named as the person to whom the said officer is authorized to mail such process or a true copy thereof.

NMA1998

APPLICABLE LAW (U.S.A.)

This Insurance shall be subject to the applicable state law to be determined by the court of competent jurisdiction as determined by the provisions of the Service of Suit Clause (U.S.A.)

14/09/2005
LMA5021

SEVERAL LIABILITY CLAUSE

PLEASE NOTE – This notice contains important information. PLEASE READ CAREFULLY

The liability of an insurer under this contract is several and not joint with other insurers party to this contract. An insurer is liable only for the proportion of liability it has underwritten. An insurer is not jointly liable for the proportion of liability underwritten by any other insurer. Nor is an insurer otherwise responsible for any liability of any other insurer that may underwrite this contract.

The proportion of liability under this contract underwritten by an insurer (or, in the case of a Lloyd's syndicate, the total of the proportions underwritten by all the members of the syndicate taken together) is shown in this contract.

In the case of a Lloyd's syndicate, each member of the syndicate (rather than the syndicate itself) is an insurer. Each member has underwritten a proportion of the total shown for the syndicate (that total itself being the total of the proportions underwritten by all the members of the syndicate taken together). The liability of each member of the syndicate is several and not joint with other members. A member is liable only for that member's proportion. A member is not jointly liable for any other member's proportion. Nor is any member otherwise responsible for any liability of any other insurer that may underwrite this contract. The business address of each member is Lloyd's, One Lime Street, London EC3M 7HA. The identity of each member of a Lloyd's syndicate and their respective proportion may be obtained by writing to Market Services, Lloyd's, at the above address.

Although reference is made at various points in this clause to "this contract" in the singular, where the circumstances so require this should be read as a reference to contracts in the plural.

LMA5096 (Combined Certificate)

7 March 2008

RADIOACTIVE CONTAMINATION EXCLUSION CLAUSE-LIABILITY-DIRECT (U.S.A.)

For attachment (in addition to the appropriate Nuclear Incident Exclusion Clause-Liability-Direct) to liability insurances affording worldwide coverage.

In relation to liability arising outside the U.S.A., its Territories or Possessions, Puerto Rico or the Canal Zone, this Policy does not cover any liability of whatsoever nature directly or indirectly caused by or contributed to by or arising from ionizing radiations or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel.

NMA1477

NUCLEAR INCIDENT EXCLUSION CLAUSE - LIABILITY - DIRECT (Broad) U.S.A.
(Approved by Lloyd's Underwriters' Non-Marine Association and Insurance Companies)

For attachment to insurances of the following classifications in the U.S.A., its Territories and Possessions, Puerto Rico and the Canal Zone: -

Owners, Landlords and Tenants Liability, Contractual Liability, Elevator Liability, Owners or Contractors (including railroad) Protective Liability, Manufacturers and Contractors Liability, Product Liability, Professional and Malpractice Liability, Storekeepers Liability, Garage Liability, Automobile Liability (including Massachusetts Motor Vehicle or Garage Liability),

not being insurances of the classifications to which the Nuclear Incident Exclusion Clause - Liability - Direct (Limited) applies.

This policy*

does not apply: -

I. Under any Liability Coverage, to injury, sickness, disease, death or destruction

   (a) with respect to which an insured under the policy is also an insured under a nuclear energy liability policy issued by Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters or Nuclear Insurance Association of Canada, or would be an insured under any such policy but for its termination upon exhaustion of its limit of liability;

or

(b) resulting from the hazardous properties of nuclear material and with respect to which (1) any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof, or (2) the insured is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.

II. Under any Medical Payments Coverage, or under any Supplementary Payments Provision relating to immediate medical or surgical relief, to expenses incurred with respect to bodily injury, sickness, disease or death resulting from the hazardous properties of nuclear material and arising out of the operation of a nuclear facility by any person or organization.

III. Under any Liability Coverage, to injury, sickness, disease, death or destruction resulting from the hazardous properties of nuclear material, if

(a) the nuclear material (1) is at any nuclear facility owned by, or operated by or on behalf of, an insured or (2) has been discharged or dispersed therefrom;

(b) the nuclear material is contained in spent fuel or waste at any time possessed, handled, used, processed, stored, transported or disposed of by or on behalf of an insured; or

(c) the injury, sickness, disease, death or destruction arises out of the furnishing by an insured of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any nuclear facility, but if such facility is located within the United States of America, its territories or possessions or Canada, this exclusion (c) applies only to injury to or destruction of property at such nuclear facility.

IV. As used in this endorsement:

"hazardous properties" include radioactive, toxic or explosive properties; "nuclear material" means source material, special nuclear material or byproduct material; "source material", "special nuclear material", and "byproduct material" have the meanings given them in the Atomic Energy Act 1954 or in any law amendatory thereof; "spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a nuclear reactor; "waste" means any waste material (1) containing byproduct material and (2) resulting from the operation by any person or organization of any nuclear facility included within the definition of nuclear facility under paragraph (a) or (b) thereof; "nuclear facility" means

(a) any nuclear reactor,

(b) any equipment or device designed or used for (1) separating the isotopes of uranium or plutonium, (2) processing or utilizing spent fuel, or (3) handling, processing or packaging waste,

(c) any equipment or device used for the processing, fabricating or alloying of special nuclear material if at any time the total amount of such material in the custody of the insured at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235,

(d) any structure, basin, excavation, premises or place prepared or used for the storage or disposal of waste,

and includes the site on which any of the foregoing is located, all operations conducted on such site and all premises used for such operations; "nuclear reactor" means any apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material. With respect to injury to or destruction of property, the word "injury" or "destruction" includes all forms of radioactive contamination of property.

It is understood and agreed that, except as specifically provided in the foregoing to the contrary, this clause is subject to the terms, exclusions, conditions and limitations of the Policy to which it is attached.

*NOTE: - As respects policies which afford liability coverages and other forms of coverage in addition, the words underlined should be amended to designate the liability coverage to which this clause is to apply.
NMA1256

SANCTION LIMITATION CLAUSE

No (re)insurer shall be deemed to provide cover and no (re)insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that (re)insurer to any sanction, prohibition or restriction under United Nations' resolutions or the trade or economic sanctions, law or regulations of the European Union, United Kingdom or United States of America.

LMA3100A
(5 October 2023)

WAR AND TERRORISM EXCLUSION CLAUSE

Notwithstanding any provision to the contrary within this insurance or any endorsement thereto it is agreed that this insurance excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with any of the following regardless of any other cause or event contributing concurrently or in any other sequence to the loss;

1. war, invasion, acts of foreign enemies, hostilities or warlike operations (whether war be declared or not), civil war, rebellion, revolution, insurrection, civil commotion assuming the proportions of or amounting to an uprising, military or usurped power; or

2. any act of terrorism.

For the purpose of this endorsement an act of terrorism means an act, including but not limited to the use of force or violence and/or the threat thereof, of any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organisation(s) or government(s), committed for political, religious, ideological or similar purposes including the intention to influence any government and/or to put the public, or any section of the public, in fear.

This endorsement also excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with any action taken in controlling, preventing, suppressing or in any way relating to 1 and/or 2 above.

If the Underwriters allege that by reason of this exclusion, any loss, damage, cost or expense is not covered by this insurance the burden of proving the contrary shall be upon the Assured.

In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain

in full force and effect.

NMA 2918

All other terms, limitations and conditions of the attached policy shall remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY: ______________________

Coverage: MORTGAGE BANKERS BOND	
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No**. 21
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

U.S. Terrorism Risk Insurance Act of 2002 as amended
Not Purchased Clause

This Clause is issued in accordance with the terms and conditions of the "U.S. Terrorism Risk Insurance Act of 2002" as amended as summarized in the disclosure notice.

It is hereby noted that the Underwriters have made available coverage for “insured losses” directly resulting from an "act of terrorism" as defined in the "U.S. Terrorism Risk Insurance Act of 2002", as amended (“TRIA”) and the Insured has declined or not confirmed to purchase this coverage.

This Insurance therefore affords no coverage for losses directly resulting from any "act of terrorism" as defined in TRIA except to the extent, if any, otherwise provided by this policy.

All other terms, conditions, insured coverage and exclusions of this Insurance including applicable limits and deductibles remain unchanged and apply in full force and effect to the coverage provided by this Insurance.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY:

Coverage: MORTGAGE BANKERS BOND	UMR No. B1526FSGFI2400340
Assured: Cardinal Financial Company, Limited Partnership	**Endorsement No**. 22
Policy Number: MBBA-24-00390	**Effective Date:** June 30, 2025

PARTICIPATION ENDORSEMENT

It is hereby understood and agreed that:

1. Financial & Professional Risk Solutions, Inc. has procured with certain Lloyds insurance syndicates (hereafter called the Underwriters) and Insurance Companies for 100% of 100% as listed below. The Underwriters under each contract do hereby bind themselves, each for his own part and not one for another for the amount shown hereunder.
2. Several Liability Notice: The subscribing insurers' obligations under contracts of insurance to which they subscribe are several and not joint and are limited solely to the extent of their individual subscriptions. The subscribing insurers are not responsible for the subscription of any co-subscribing insurer who for any reason does not satisfy all or part of its obligations.
3. Line Clause: This Insurance, being signed for 100% of 100% insures only that proportion of any loss, whether total or partial, including but not limited to that proportion of associated expenses, to the extent and in the manner provided in this insurance.

   The percentages signed in the Table are percentage of 100% of the Amount(s) of Insurance stated herein.
4. Each contract shall be liable for such proportion of any loss as the amount underwritten by such contract, as specified hereunder. In no event shall any of the Underwriters under such contract be liable for an amount greater than that underwritten by it, as specified herein.

Lloyds of London Syndicates	Percentage
HAM 4000	28.000
CGM 2488	24.000
BRIT 2987	11.250
MOS 1609	8.750
	72.000
and	
Endurance Worldwide Insurance Limited	28.000
TOTAL:	**100.000**

All other terms, insuring clauses, agreements, definitions, exclusions, limitations, conditions and endorsements of the attached Bond remain unchanged.

Dated at Chicago, Illinois

BANKERS INSURANCE SERVICE a division of
Financial & Professional Risk Solutions, Inc. (TX Lic #15890).
In CA dba: FPR Insurance Solutions, Inc. Lic #0G83953

July 16, 2025

BY:

BANKERS INSURANCE SERVICE
Always A Leader

IS A DIVISION OF FINANCIAL AND PROFESSIONAL RISK SOLUTIONS, INC. TX LIC. # 15890
IN CA DBA: FPR INSURANCE SOLUTIONS, INC. LIC. #0G83953

APPLICATION

MORTGAGE BANKERS & BROKERS

FIDELITY AND MORTGAGEE'S E&O / PL / D&O / PRIVACY LIABILITY

Check the coverage(s) for which this Application is made for below

- ☐ **FIDELITY AND MORTGAGEE'S ERRORS & OMISSIONS (E&O) INSURANCE POLICY**
- ☐ **PROFESSIONAL SERVICES LIABILITY (PL) INSURANCE POLICY**
- ☐ **DIRECTORS' AND OFFICERS' (D&O) REIMBURSEMENT INDEMNIFICATION POLICY**
- ☐ **PRIVACY LIABILITY WITH BREACH RESPONSE SERVICES (PRIVACY LIABILITY)**

NOTICE: IF A PROFESSIONAL SERVICES LIABILITY POLICY OR DIRECTORS AND OFFICERS POLICY IS ISSUED, THE POLICY FOR WHICH THIS APPLICATION IS MADE (THE "POLICY"), SUBJECT TO ITS TERMS, APPLIES ONLY TO ANY THIRD PARTY CLAIM (AS SET FORTH IN THE POLICY) MADE AGAINST THE ASSURED (AS DEFINED IN THE POLICY) DURING THE POLICY PERIOD OR OPTIONAL EXTENSION PERIOD (IF APPLICABLE) AND REPORTED TO THE UNDERWRITERS WITHIN 30 DAYS AFTER THE EXPIRATION DATE OF THE POLICY PERIOD OR THE OPTIONAL EXTENSION PERIOD (IF APPLICABLE). THE LIMIT OF INDEMNITY AVAILABLE TO PAY DAMAGES OR SETTLEMENTS SHALL BE REDUCED AND MAY BE EXHAUSTED BY AMOUNTS INCURRED AS COURT COSTS AND ATTORNEYS' FEES AND COURT COSTS AND ATTORNEYS' FEES SHALL BE APPLIED TO THE DEDUCTIBLE.

GENERAL INSTRUCTIONS

(1) Please read carefully and answer all questions. If a question is not applicable, so state. If space is insufficient to answer any question fully, attach a separate sheet.

(2) This Application form and all exhibits shall be held in confidence. The following information must accompany this Application form and will be considered a part of the Application:

a. ☑ Most recent year end audit report, including auditor's comments on compliance and internal controls

b. ☐ If audit report is more than 6 months old, a current balance sheet and year-to-date income statment:

c. ☑ Current organizational chart and key management resumes;

d. ☐ List of all companies desiring this proposed insurance, date acquired and founded along with ownership interest held;

e. ☐ If coverage is currently with another insurance carrier, please attach the Declarations page of your current policies.

(3) If you have any questions, please contact Bankers Insurance Service at:

BANKERS INSURANCE SERVICE
200 E RANDOLPH STREET
CHICAGO, IL 60601
www.bankersinsuranceservice.com
PHONE: (800) 323-2743
FAX: (312) 381-5195
E-MAIL: bis@bankersinsuranceservice.com

APPLICANT INFORMATION

COMPANY NAME
Cardinal Financial Company, Limited Partnership

ALL PREVIOUS COMPANY NAME(S) – (IF APPLICABLE)

STREET ADDRESS
3530 Toringdon Way, Suite 200

CITY, (COUNTY OR PARISH), STATE, ZIP
Charlotte, NC 28277

MAILING ADDRESS (IF DIFFERENT)

E-MAIL ADDRESS
adam.deyoung@cardinalfinancial.com

WEB-SITE ADDRESS
www.cardinalfinancial.com

PHONE	CONTACT PERSON
817-984-8670	Adam DeYoung

STATE OF INCORPORATION OR CHARTER	DATE OF INCORPORATION
PA	7/1/1987

DATE SINCE WHICH YOU HAVE BEEN CONTINUOUSLY DOING BUSINESS
1987

IS THE COMPANY PUBLICLY TRADED?	HOW DID YOU HEAR ABOUT US?
No	

C. COMPANY INFORMATION

1 **LIST, CHECK,** (OR ATTACH A LISTING OF) **ALL MORTGAGE ASSOCIATIONS THAT YOUR COMPANY IS A MEMBER OF:**

MORTGAGE BANKERS ASSOCIATION ☑

LENDERS ONE ☐

IF "OTHER", PLEASE LIST BELOW ☐

2. **LIST** (OR ATTACH A LISTING OF) **ALL SUBSIDIARIES OR AFFILIATES, RETIREMENT AND PENSION PLANS AS REQUIRED BY ERISA** (NO ADDITIONAL PREMIUMS ASSESSED FOR RETIREMENT AND PENSION PLANS, JOINT VENTURES, ETC.)

IF COVERAGE IS DESIRED, PLEASE CHECK THE APPROPRIATE BOX BELOW

ENTITY	COVERAGE DESIRED	
	☐ YES	☐ NO
	☐ YES	☐ NO
	☐ YES	☐ NO
	☐ YES	☐ NO
	☐ YES	☐ NO

3. **NAMES OF ALL INDIVIDUALS AND / OR ENTITIES THAT OWN 10% OR MORE OF THE COMPANY:**

NAME	% OWNERSHIP
Wakefield Investors	98.00

4. **HAVE THERE BEEN ANY CHANGES IN OWNERSHIP (10% OR MORE), OR A CHANGE IN THE COMPANY'S FINANCIAL STRUCTURE IN THE PAST 3 YEARS?**

☐ YES ☑ NO

IF "YES" PLEASE EXPLAIN

5. **LIST THE CURRENT NUMBER OF EMPLOYEES BY THE FOLLOWING ACTIVITIES:**

BOARD OF DIRECTORS CORPORATE OFFICERS	# 6
LOAN PRODUCTION	# 644
LOAN SERVICING	#
INDEPENDENT CONTRACTORS	#
ALL OTHER EMPLOYEES	# 332
TOTAL EMPLOYEES	# 982

6. **NUMBER OF LOCATIONS OTHER THAN MAIN OFFICE**

A. BRANCH OFFICES (THOSE THAT UNDERWRITE) # 70

B. SATELLITE OFFICES (THOSE THAT DO NOT UNDERWRITE) # 1

7. **DOES THE COMPANY NOW HAVE, OR CONTEMPLATE HAVING, SELLER/SERVICER STATUS WITHIN THE NEXT 12 MONTHS WITH**

FREDDIE MAC	☑ YES	☐ NO
FANNIE MAE	☑ YES	☐ NO
GINNIE MAE	☑ YES	☐ NO
HUD (AS A DIRECT ENDORSEMENT LENDER)	☑ YES	☐ NO

8. **HAVE YOU AGREED TO, OR DO YOU CONTEMPLATE WITHIN THE NEXT 12 MONTHS, ANY SALE, DISTRIBUTION, MERGER, ACQUISITION OR CONSOLIDATION WITH ANOTHER ENTITY WHOSE CONSOLIDATED ASSETS EXCEED 20% OF THE COMPANY'S CONSOLIDATED ASSETS?**

☐ YES ☑ NO

ANY REGISTRATION FOR A PUBLIC OFFERING OR PRIVATE PLACEMENT OF SECURITIES?

☐ YES ☑ NO

IF "YES", PLEASE DESCRIBE THE ESSENTIAL TERMS OF EACH SUCH TRANSACTION IN AN ATTACHMENT TO THIS APPLICATION

LOAN ORIGINATION, BROKERED, OR PURCHASE ACTIVITY (9-12)

IF NO LOAN ORIGINATION OR PURCHASE ACTIVITY, CHECK BOX BELOW AND PROCEED TO QUESTIONS 13

NO LOAN ORIGINATION OR PURCHASE ACTIVITY ☐

9. **LOAN ORIGINATION, BROKERED, OR PURCHASE ACTIVITIES FOR THE 12 MONTHS ENDING:**

12 / 31 / 2024

	NUMBER	VOLUME
1-4 FAMILY	# 13,770	$ 4,514,392,000
SECOND MORTGAGE	# 968	$ 14,696,000
REVERSE MORTGAGE	# 0	$ 0
MULTIFAMILY/COMMERCIAL	# 0	$ 0
GRAND TOTAL	# 14,738	$ 4,529,088,000
PROJECTED NEXT 12 MONTHS	#	$

BY NUMBER OF LOANS, WHAT % OF THE ABOVE **GRAND TOTAL** OF **ORIGINATED, BROKERED, OR PURCHASED LOANS** ARE, OR WILL BE:

RETAIL	79.00
WHOLESALE	21.00
TOTAL (SHOULD EQUAL 100%)	100.00

FOR LOANS ORIGINATED ON WHOLESALE BASIS, DO YOU VERIFY EACH:

MORTGAGE BROKER'S LICENSE ☑ YES ☐ NO

DO YOU PERFORM BACKGROUND CHECKS ON MORTGAGE BROKERS: ☑ YES ☐ NO

BY NUMBER OF LOANS, WHAT % OF THE ABOVE **GRAND TOTAL** OF **ORIGINATED, BROKERED, OR PURCHASED LOANS** ARE:

SOLD TO GSE's	77.00 %
SOLD TO OTHER INSTITUTIONAL INVESTORS	23.00 %
SOLD TO INDIVIDUALS	%
HELD IN APPLICANT'S PORTFOLIO	%
SECURITIZED BY APPLICANT	%
TOTAL (SHOULD EQUAL 100%)	100.00 %

10. **BY NUMBER OF LOANS, WHAT PERCENTAGE OF THE 1-4 FAMILY LOANS ORIGINATED, BROKERED, OR PURCHASED** (IN QUESTION 9) **ARE** (NOTE: TOTAL MAY EXCEED 100%):

FANNIE/FREDDIE COMPLIANT (INCLUDE LOANS SOLD TO OTHER INVESTORS, IF COMPLIANT)	31.00 %
	0.50 %
JUMBO (OTHERWISE COMPLIANT)	47.00 %
FHA/HUD	0.10 %
OTHER ALT A / A-	10.00 %
SUBPRIME (FICO SCORE BELOW 620)	

11. **BY NUMBER OF LOANS, WHAT PERCENTAGE OF 1-4 FAMILY LOANS ORIGINATED, BROKERED, PURCHASED** (IN QUESTION 9) **ARE, OR WILL BE:**

	PAST 12 MONTHS	NEXT 12 MONTHS
QUALIFIED MORTGAGES (QM)	100.00 %	99.00 %
NON-QUALIFIED MORTGAGES (NON-QM)	0.00 %	1.00 %
QM LEGAL SAFE HARBOR	%	%
QM REBUTTABLE PRESUMPTIONOF COMPLIANCE	%	%

12. DOES YOUR FIRM HAVE A WAREHOUSE LINE OF CREDIT?

☑ YES ☐ NO

IF "NO" DO YO INTEND ON GETTING A WAREHOUSE LINE OF CREDIT IN THE NEXT SIX MONTHS:

☐ YES ☐ NO

WAREHOUSE LENDERS YOUR FIRM USES OR HAS APPLIED TO

FIRM	CONTACT
Texas Capital Bank	Sean O'Neil
Prosperity Bank	Jarrod Ross
Truist	Steve Kleindienst
JP Morgan Chase, Bank of Montreal, EverBank	Annie Sun, Christopher Curreri, Elizabeth Moore

REVENUES (13-14)

13. GROSS ANNUAL REVENUES LAST FISCAL YEAR: $ 296,649,000

GROSS ANNUAL REVENUES NEXT FISCAL YEAR: $ 265,000,000

14. WHAT PROFESSIONAL SERVICE ACTIVITIES IS THE APPLICANT INTERESTED IN COVERING UNDER THIS POLICY? PLEASE INDICATE BELOW.

IF ADDITIONAL PROFESSIONAL SERVICES ARE REQUIRED, PLEASE ATTACH TO APPLICATION

	PROFESSIONAL SERVICES	% OF LAST YEARS TOTAL REVENUES	% OF PROJECTED TOTAL REVENUES
✓	MORTGAGE ORIGINATION	80.00	90.00
✓	MORTGAGE SERVICING	20.00	10.00
	REAL ESTATE APPRAISAL		
	REAL ESTATE SALES		
	PROPERTY MANAGEMENT		
	INSURANCE AGENCY		
	OTHER		

*SHOULD ONLY INCLUDE LOAN ORIGINATION FEES, AND NOT, FOR EXAMPLE, SERVICING RIGHTS RELEASED OR WAREHOUSE LINE OF CREDIT INTEREST REVENUES.

LOAN SERVICING PORTFOLIO (15-19)

IF NO LOAN SERVICING ACTIVITY, CHECK BOX BELOW AND PROCEED TO QUESTION 20

NO LOAN SERVICING ACTIVITY ☐

15. LOAN SERVICING PORTFOLIO AS OF:

12 / 31 / 2024

	NUMBER	VOLUME
1-4 FAMILY	# 70,081	$ 18,313,517,000
SECOND MORTGAGE	# 155	$ 5,230,000
REVERSE MORTGAGE	#	$
MULTIFAMILY/COMMERCIAL	#	$
OTHER	# 662	$ 146,206,000
GRAND TOTAL	# 70,898	$ 18,464,953,000

FOR THE ABOVE LOAN SERVICING PORTFOLIO, THE DELINQUENCY SERVICING RATIOS ARE:

30 – 59 DAYS	0.55 %
60 – 89 DAYS	0.45 %
OVER 90 DAYS	1.24 %
REO OR IN FORECLOSURE	0.15 %
TOTAL	2.39 %

FOR THE ABOVE LOAN SERVICING PORTFOLIO, HOW MANY LOANS WERE FORECLOSED UPON IN THE PAST 12 MONTHS

82

16. PRIMARY AND SUB-SERVICING ACTIVITIES (NOTE: ESTIMATE %):

A. BASED ON THE NUMBER OF LOANS, PLEASE ESTIMATE THE PERCENTAGE OF LOANS IN THE LOAN SERVICING PORTFOLIO WHERE THE APPLICANT ACTS AS THE PRIMARY SERVICER (I.E. APPLICANT OWNS THE SERVICING RIGHTS AND SERVICES THE LOAN):

0 %

B. BASED ON THE NUMBER OF LOANS, PLEASE ESTIMATE THE PERCENTAGE OF LOANS IN THE LOAN SERVICING PORTFOLIO WHERE APPLICANT COMPANY ACTS AS SUB-SERVICER (I.E. APPLICANT DOES NOT OWN THE SERVICING RIGHTS AND SERVICES LOANS FOR OTHERS):

0 %

C. BASED ON THE NUMBER OF LOANS, PLEASE ESTIMATE THE PERCENTAGE OF LOANS IN THE LOAN SERVICING PORTFOLIO THAT ARE SUB-SERVICED BY OTHERS (I.E. APPLICANT OWNS THE SERVICING RIGHTS, BUT LOANS ARE SERVICED BY ANOTHER ENTITY

100 %

17. ESTIMATED % OF CONDOMINIUM/PUD LOANS IN LOAN SERVICING PORTFOLIO:

.6 %

18. DOES THE APPLICANT OWN, ORIGINATE, OR SERVICE ANY LOANS FOR WHICH EARTHQUAKE INSURANCE IS REQUIRED?

☑ YES ☐ NO

19. DOES THE APPLICANT CARRY A "FORCE PLACEMENT" PROGRAM WHICH AUTOMATICALLY PROVIDES COVERAGE ON PROPERTY FOR WHICH THE APPLICANT IS AWARE THERE IS NOT EXISTING INSURANCE OF THE TYPE THAT IS REQUIRED IN THE MORTGAGE CONTRACT?

☐ YES ☑ NO

IF "YES", PLEASE PROVIDE THE FOLLOWING

FORCE PLACED CARRIER

EXPIRATION DATE

DOES FORCE PLACED PROGRAM GIVE THE APPLICANT THE ABILITY TO BACKDATE COVERAGE

☐ YES ☐ NO

TITLE & LOAN CLOSING (20-27)

20. DO YOUR LOAN CLOSING / SETTLEMENT AGENTS' AND ATTORNEYS' AGREEMENTS INCLUDE LANGUAGE REQUIRING THAT THE CLOSING AGENT INFORM YOU OF RECENT ESCROWS, CLOSINGS, OR CHANGE OF TITLE?

☑ YES ☐ NO

21. WHAT IS THE MAXIMUM DOLLAR AMOUNT OF FUNDS PERMITTED TO BE WIRED TO A LOAN CLOSING / SETTLEMENT AGENT OR ATTORNEY AT ANY GIVEN TIME?

22. DO YOU (OR A THIRD PARTY) RUN A BACKGROUND CHECK ON THE LOAN CLOSING / SETTLEMENT AGENT OR ATTORNEY PERFORMING EACH LOAN CLOSING?

☑ YES ☐ NO

23. WHAT EXCLUSIONARY LISTS DO YOU REVIEW PRIOR TO FORWARDING FUNDS TO LOAN CLOSING / SETTLEMENT AGENTS AND ATTORNEYS?

Approved lists are maintained by each warehouse lender and Cardinal after performing due dilligence

24. IF LOAN CLOSINGS ARE CONDUCTED BY ATTORNEYS, DO YOU CHECK THAT THEIR LAW LICENSE IS VALID AND IN GOOD STANDING WITH THE STATE?

☐ YES ☑ NO

25. DO YOU REQUIRE ALL TITLE AGENTS AND LOAN CLOSING AGENTS TO BE REGISTERED IN THE AMERICAN LAND TITLE ASSOCIATION (ALTA) REGISTRY AND HAVE OBTAINED AN ALTA ID?

☐ YES ☑ NO

26. PRIOR TO LOAN CLOSING, DO YOU SEARCH THE ALTA REGISTRY TO CONFIRM THE IDENTITY OF THE TITLE AGENT OR LOAN CLOSING AGENT?

☐ YES ☑ NO

27. DO YOU OWN A TITLE COMPANY OR AGENCY OR ARE YOU AFFILIATED WITH A TITLE AND/OR ESCROW COMPANY?

☐ YES ☑ NO

IF YES, COMPLETE TITLE COMPANY QUESTIONNAIRE

APPRAISAL (28-29)

28. DO ANY OF YOUR EMPLOYEES OR EMPLOYEES OF RELATED OR OWNED ENTITIES PERFORM PROPERTY APPRAISALS ON WHICH LENDING DECISIONS ARE BASED?

☐ YES ☑ NO

29. ARE ALL APPRAISALS ORDERED USING APPRAISAL MANAGEMENT COMPANIES (AMC's)?

☑ YES ☐ NO

COMPUTER SYSTEMS/CYBER (30-35)

30. IS ALL VALUABLE / SENSITIVE DATA BACKED UP BY THE COMPANY REGULARLY AND SUBSEQUENTLY ENCRYPTED (VIA BACK-UP TAPES, CLOUD, ETC.)

☑ YES ☐ NO

31. DOES THE COMPANY ENCRYPT DATA STORED ON LAPTOP COMPUTERS AND OTHER PORTABLE MEDIA?

☑ YES ☐ NO

32. DOES THE COMPANY MAINTAIN COMPUTER SECURITY THAT INCLUDES THE FOLLOWING:

FIREWALL ☑ YES ☐ NO

ANTI-VIRUS ☑ YES ☐ NO

SPYWARE / MALWARE PROTECTION ☐ YES ☐ NO

IF "YES", DOES THE SOFTWARE UPDATE AUTOMATICALLY FOR THE FOLLOWING

FIREWALL ☑ YES ☐ NO

ANTI-VIRUS ☑ YES ☐ NO

SPYWARE / MALWARE PROTECTION ☑ YES ☐ NO

33. DOES THE COMPANY HAVE A WRITTEN CORPORATE-WIDE PRIVACY POLICY THAT IS AVAILIBLE FOR REVIEW BY CLIENTS?

☑ YES ☐ NO

IF "YES", PLEASE ATTACH A COPY OF THE PRIVACY POLICY TO THIS APPLICATION

34. DOES THE COMPANY ACCEPT CREDIT CARDS FOR GOODS SOLD OR SERVICES RENDERED?

☑ YES ☐ NO

IF "YES", IS THE COMPANY COMPLIANT WITH APPLICABLE DATA SECURITY STANDARDS ISSUED BY FINANCIAL INSTITUTIONS WITH WHOM THE COMPANY TRANSACTS BUSINESS (E.G. PCI STANDARDS)?

☑ YES ☐ NO

35. HAS THE COMPANY EVER RECEIVED ANY CLAIMS OR COMPLAINTS WITH RESPECT TO ALLEGATIONS OF INVASION OF OR INJURY TO PRIVACY, IDENTITY THEFT, THEFT OF INFORMATION, BREACH OF INFORMATION, SOFTWARE COPYRIGHT INFRINGEMENT OR CONTENT INFRINGEMENT OR BEEN REQUIRED TO PROVIDE NOTIFICATION TO INDIVIDUALS DUE TO AN ACTUAL OR SUSPECTED DISCLOSURE OF PERSONAL INFORMATION?

☐ YES ☑ NO

IF "YES", PLEASE PROVIDE DETAILS OF EACH SUCH CLAIM, ALLEGATION OR INCIDENT, INCLUDING COSTS, LOSSES OR DAMAGES INCURRED OR PAID, AND ANY AMOUNTS PAID UNDER ANY INSURANCE POLICY.

CASH & ACCOUNTING (36-42)

36. ARE BORROWER AND INVESTOR ESCROWS MAINTAINED IN SEGREGATED CUSTODIAL ACCOUNTS?

☑ YES ☐ NO

37. DO THE COMPANY'S POLICIES PROHIBIT THE TRANSFER OF ESCROW FUNDS:

TO OR FROM OTHER ESCROW ACOUNTS OR OTHER CUSTODIAL ACCOUNTS?

☑ YES ☐ NO

TO OR FROM OPERATING ACCOUNTS?

☑ YES ☐ NO

38. DESCRIBE CONTROLS ON INCOMING AND OUTGOING WIRE TRANSFERS OF MONEY.

All wire transfers are subject to dual approval control procedures (cannot draft and approve same wire)

39. ARE DUTIES SEGREGATED SO THAT NO SINGLE INDIVIDUAL HAS BOTH CUSTODIAL FUNCTIONS AND ACCOUNTING AUTHORITY (I.E. CASH RECEIPTS AND DISBURSEMENTS) OVER THE COMPANY'S FUNDS AND SECURITIES?

☑ YES ☐ NO

40. ARE ALL CASH BALANCES, BANK BALANCES, OR SIMILAR BALANCES RECONCILED MONTHLY?

☑ YES ☐ NO

41. ARE RECONCILIATIONS PREPARED AND SUPERVISED BY AN INDIVIDUAL WITH NO RESPONSIBILITY FOR CASH RECEIPTS OR DISBURSEMENTS BY MEANS OF CHECKS OR WIRE TRANSFER?

☑ YES ☐ NO

42. DOES AN OFFICER, WHO IS NOT RESPONSIBLE FOR THE RECEIPT OR DISBURSEMENT OF CASH, REVIEW ALL RECONCILIATIONS AND QUESTION UNUSUAL UNRECONCILED ITEMS?

☑ YES ☐ NO

IF "NO" APPLIES TO QUESTIONS 37-43, PLEASE EXPLAIN HOW THE COMPANY HANDLES SUCH FUNCTION(S):

GENERAL QUALITY CONTROL (43-50)

43. DO YOU USE REGULATORY COMPLIANCE SOFTWARE?

☑ YES ☐ NO

44. HOW DOES THE COMPANY KEEP ABREAST OF APPLICABLE FEDERAL AND STATE REGULATIONS?

Aces

45. DO YOU UTILIZE A FRAUD DETECTION SERVICE?

☑ YES ☐ NO

IF "YES", WHAT PERCENTAGE OF LOANS ARE TESTED? ______%

IF "YES", WHAT FIRM(S) ARE YOU USING FOR FRAUD DETECTION?

CoreLogic

02/19

46. DO YOU HAVE CALL BACK PROCEDURES IN PLACE TO VERIFY VOE AND VOD INFORMATION PRIOR TO LOAN CLOSING?

☑ YES ☐ NO

47. DESCRIBE THE STEPS IN TAKEN TO VERIFY BORROWER IDENTITIES:

Credit report agencies and fraud guard technology

48. DO YOU RUN BACKGROUND CHECKS ON LOAN OFFFICERS THAT ORIGINATE LOANS FOR THE COMPANY

☑ YES ☐ NO

49. IN THE PAST 12 MONTHS, HOW MANY LOANS HAS THE APPLICANT BEEN REQUIRED TO REPURCHASE FROM, OR INDEMNIFY, A SECONDARY MARKET INVESTOR?

OF LOANS 125

$ VOLUME 42,937,000

50. DO LOAN UNDERWRITERS HAVE PRODUCTION GOALS BASED ON THE NUMBER OF LOANS CLOSED?

☐ YES ☑ NO

CLAIMS (51-57)

51. WAS PRIOR COVERAGE EVER CANCELLED OR NON-RENEWED? (OTHER THAN BEING NON-RENEWED DUE TO THE CARRIER NO LONGER WRITING THIS TYPE OF COVERAGE) (OTHER THAN MISSOURI APPLICANTS)

☐ YES ☑ NO

52. DOES THE APPLICANT KNOW OF ANY OR HAVE ANY REPORTED VIOLATIONS OF LAW IN ANY OF THE FOLLOWING:

A. REAL ESTATE SETTLEMENT PROCEDURE ACT (RESPA) ☐ YES ☑ NO

B. TRUTH LENDING LEGISLATION (TILA) ☐ YES ☑ NO

C. EQUAL CREDIT OPPORTUNITY LEGISLATION ☐ YES ☑ NO

53. IN THE PAST 5 YEARS, HAS YOUR FIRM DISCOVERED OR INCURRED A LOSS OR POTENTIAL LOSS IN EXCESS OF $5,000 IN ANY OF THE FOLLOWING AREAS?

A. EMPLOYEE DISHONESTY/FIDELITY) ☐ YES ☑ NO

B. FORGED DOCUMENTS/CHECKS ☐ YES ☑ NO

C. BURGLARY, ROBBERY OR THEFT ☐ YES ☑ NO

D. OBTAINING/MAINTAINING MORTGAGOR'S INSURANCE ☐ YES ☑ NO

E. REAL ESTATE TAX PAYMENTS ☐ YES ☑ NO

F. OTHER ☑ YES ☐ NO

54. DURING THE PAST 5 YEARS, HAVE ANY SUITS, DEMANDS FOR ARBITRATION OR ADMINISTRATIVE OR REGULATORY ACTIONS BEEN FILED AGAINST THE APPLICANT COMPANY(IES) OR THEIR PREDECESSORS, OR ANY OF ITS PRESENT OR PAST DIRECTORS, OFFICERS, OR EMPLOYEES

☑ YES ☐ NO

55. WITH RESPECT TO POLICIES INCEPTING FOR THE FIRST TIME WITH BANKERS INSURANCE SERVICE, HAS THE COMPANY ANY KNOWLEDGE OR INFORMATION, AFTER FULL INQUIRY OF THE CEO, CFO, COO OR GENERAL COUNSEL, OF ANY FACTS, CIRCUMSTANCES, OR EVENTS WHICH COULD GIVE RISE TO A LOSS (OR CLAIM BEING MADE AGAINST THE COMPANY OR ITS EMPLOYEES)?

☐ YES ☑ NO

56. HAS ANY PRINCIPAL, DIRECTOR, OFFICER OR EMPLOYEE HAD A PROFESSIONAL LICENSE SUSPENDED OR REVOKED?

☐ YES ☑ NO

57. DURING THE PAST FIVE YEARS, HAS THE APPLICANT OR ANY PREDECESSOR IN BUSINESS OR ANY OF THE PAST OR PRESENT PARTNERS, OFFICERS, DIRECTORS OR EMPLOYEES BEEN THE SUBJECT OF AN INVESTIGATION, REPRIMAND, DISCIPLINARY ACTION, CRITICISM, OR FILED COMPLAINT BY THE FHA, VA, PMI CARRIER, ANY INVESTOR, AUTHORITY, OR GOVERNMENTAL AGENCY?

☐ YES ☑ NO

IF "YES" TO ANY OF THE ABOVE CLAIM QUESTIONS, PLEASE PROVIDE FULL DETAILS ON A SEPARATE PAGE AND ATTACH IT TO THIS APPLICATION.

CURRENT COVERAGE (58)

IF YOUR CURRENT INSURANCE IS PLACED WITH BANKERS INSURANCE SERVICE, CHECK BOX BELOW AND PROCEED TO SIGNATURE PAGE

INSURANCE COVERAGE IS CURRENTLY WITH BANKERS INSURANCE SERVICE ☑

58. CURRENT PROFESSIONAL SERVICES LIABILITY INSURANCE:

INSURANCE COMPANY ______
LIMIT $ ______
DEDUCTIBLE $ ______
PREMIUM $ ______
EXPIRATION DATE ______
RETROACTIVE DATE ______

CURRENT FIDELITY BOND INSURANCE:

INSURANCE COMPANY ______
LIMIT $ ______
DEDUCTIBLE $ ______
PREMIUM $ ______
EXPIRATION DATE ______

CURRENT DIRECTORS' & OFFICERS' LIABILITY INSURANCE:

INSURANCE COMPANY ______
LIMIT $ ______
DEDUCTIBLE $ ______
PREMIUM $ ______
EXPIRATION DATE ______

CURRENT CYBER LIABILITY INSURANCE:

INSURANCE COMPANY ______
LIMIT $ ______
DEDUCTIBLE $ ______
PREMIUM $ ______
EXPIRATION DATE ______

WARNING

ANY PERSON WHO, WITH INTENT TO DEFRAUD OR KNOWING THAT (S)HE IS FACILITATING A FRAUD AGAINST AN INSURER, SUBMITS AN APPLICATION OR FILES A CLAIM CONTAINING A FALSE OR DECEPTIVE STATEMENT MAY BE GUILTY OF INSURANCE FRAUD.

Applicable in AL, AR, DC, LA, MD, NM, RI and WV
It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties (may)* include imprisonment, fines and denial of insurance benefits. *Applies in ME Only.

Applicable in CO
It is unlawful to knowingly provide false, incomplete, or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claimant with regard to a settlement or award payable from insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.

Applicable in FL and OK
Any person who knowingly and with intent to injure, defraud, or deceive any insurer files a statement of claim or an application containing any false, incomplete, or misleading information is guilty of a felony (of the third degree)*. *Applies in FL Only.

Applicable in KS
Any person who, knowingly and with intent to defraud, presents, causes to be presented or prepares with knowledge or belief that it will be presented to or by an insurer, purported insurer, broker or any agent thereof, any written statement as part of, or in support of, an application for the issuance of, or the rating of an insurance policy for personal or commercial insurance, or a claim for payment or other benefit pursuant to an insurance policy for commercial or personal insurance which such person knows to contain materially false information concerning any fact material thereto; or conceals, for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act.

Applicable in KY, NY, OH and PA
Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information or conceals for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime and subjects such person to criminal and civil penalties* (not to exceed five thousand dollars and the stated value of the claim for each such violation)*. *Applies in NY Only.

Applicable in ME, TN, VA and WA
It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties (may)* include imprisonment, fines and denial of insurance benefits. *Applies in ME Only.

Applicable in NJ
Any person who includes any false or misleading information on an application for an insurance policy is subject to criminal and civil penalties.

Applicable in OR
Any person who knowingly and with intent to defraud or solicit another to defraud the insurer by submitting an application containing a false statement as to any material fact may be violating state law.

Applicable in PR
Any person who knowingly and with the intention of defrauding presents false information in an insurance application, or presents, helps, or causes the presentation of a fraudulent claim for the payment of a loss or any other benefit, or presents more than one claim for the same damage or loss, shall incur a felony and, upon conviction, shall be sanctioned for each violation by a fine of not less than five thousand dollars ($5,000) and not more than ten thousand dollars ($10,000), or a fixed term of imprisonment for three (3) years, or both penalties. Should aggravating circumstances [be] present, the penalty thus established may be increased to a maximum of five (5) years, if extenuating circumstances are present, it may be reduced to a minimum of two (2) years.

NO FACT, CIRCUMSTANCE OR SITUATION INDICATING THE PROBABILITY OF A CLAIM OR ACTION AGAINST WHICH INDEMNIFICATION WOULD BE AFFORDED BY THE PROPOSED INSURANCE IS NOW KNOWN BY ANY COMPANY OR ANY OF IT'S PRESENT OR PAST DIRECTORS, OFFICERS OR ANY EMPLOYEES UNDER THIS PROPOSED INSURANCE OTHER THAN THAT WHICH IS DISCLOSED IN THIS APPLICATION.

IT IS AGREED BY ALL CONCERNED THAT IF THERE BE KNOWLEDGE OF ANY SUCH FACT, CIRCUMSTANCE, OR SITUATION, ANY CLAIM OR ACTION SUBSEQUENTLY EMANATING THEREFROM SHALL BE EXCLUDED FROM COVERAGE UNDER THIS PROPOSED INSURANCE.

THE UNDERSIGNED AUTHORIZED OFFICER OF THE APPLICANT WARRANTS AFTER INQUIRY THAT TO THE BEST OF HIS KNOWLEDGE THE STATEMENTS SET FORTH IN THIS APPLICATION, AND THE MATERIALS SUBMITTED THEREWITH ARE TRUE, AND IT IS AGREED THAT THE APPLICATION FORM AND ALL MATERIALS SUBMITTED WITH THE APPLICATION FORM SHALL BE THE BASIS OF THE CONTRACT SHOULD A POLICY BE ISSUED AND THE APPLICATION FORM INCLUDING ALL ATTACHMENTS WILL BE ATTACHED TO AND MADE PART OF THE POLICY.

SIGNING OF THIS APPLICATION FORM DOES NOT BIND THE APPLICANT NOR THE INSURER TO COMPLETE THE INSURANCE.

IT IS AGREED THAT IN THE EVENT THERE IS ANY MATERIAL CHANGE IN THE ANSWERS TO THE QUESTIONS HEREIN PRIOR TO THE EFFECTIVE DATE OF THE POLICY, THE APPLICANT WILL NOTIFY THE UNDERWRITERS AND ANY OUTSTANDING QUOTATION MAY BE MODIFIED OR WITHDRAWN. IN ADDITION, NO INFORMATION PROVIDED BY THIS APPLICATION OR ALONG WITH THIS APPLICATION SHALL BE DEEMED TO REPORT A CLAIM SUCH NOTICE SHOULD BE MADE AS INSTRUCTED BY THE POLICY

Adam Daly

SIGNATURE

Chief Financial Officer

TITLE

(MUST BE SIGNED BY CHAIRMAN OF THE BOARD OR PRESIDENT)

Cardinal Financial Company, Limited Partnership

APPLICANT COMPANY NAME

05/22/2025

MONTH, DAY & YEAR SIGNED

02/19

BANKERS INSURANCE SERVICE
Always A Leader

APPLICATION

TITLE COMPANY SUPPLEMENT

TITLE COMPANY SUPPLEMENT (1-15)

1 ARE THE MORTGAGE AND TITLE COMPANIES REGISTERED AS SEPARATE ENTITIES WITH THE DEPARTMENT OF STATE?

☐ YES ☐ NO

2 DO YOUR MORTGAGE COMPANY AND TITLE COMPANY OCCUPY SEPARATE OFFICES?

☐ YES ☐ NO

3 DO YOUR MORTGAGE COMPANY AND TITLE COMPANY SHARE ANY STAFF OR EMPLOYEES?

☐ YES ☐ NO

4 DOES THE TITLE COMPANY REQUIRE TWO SIGNATURES ON ALL CHECKS GENERATED FROM THE ESCROW/FUNDING ACCOUNTS?

☐ YES ☐ NO

WHO ARE THE PERSONS AUTHORIZED TO SIGN CHECKS?

____

____

____

____

5 DOES THE MORTGAGE COMPANY UNDERGO AN ANNUAL AUDIT BY AN INDEPENDENT CPA?

☐ YES ☐ NO

6 DOES THE TITLE COMPANY UNDERGO AN ANNUAL AUDIT BY AN INDEPENDENT CPA?

☐ YES ☐ NO

7 IF THE ANSWERS TO QUESTIONS 5 AND 6 ARE "YES", ARE THESE AUDITS CONDUCTED SEPARATELY?

☐ YES ☐ NO

8 DO YOUR MORTGAGE AND TITLE COMPANY HAVE SEPARATE AND DEDICATED PHONE LINES, FAX LINES, AND E-MAIL SERVERS?

☐ YES ☐ NO

9 ARE CLIENT FILES FOR BOTH COMPANIES MAINTAINED AT THEIR OWN ON-SITE LOCATIONS?

☐ YES ☐ NO

10 IS ALL COMMUNICATION BETWEEN THE TWO ENTITIES DONE EXCLUSIVELY THROUGH WRITTEN CORRESPONDENCE?

☐ YES ☐ NO

11 WHAT TITLE INSURANCE CARRIERS DOES YOUR TITLE COMPANY UTILIZE?

____

____

____

____

12 DO THESE TITLE CARRIERS AUDIT YOUR TITLE ENTITY?

☐ YES ☐ NO

IF "YES", PLEASE SEND A COPY OF THE MOST RECENT AUDIT(S) TO THIS APPLICATION

13 WHAT DISCLOSURE PROCEDURES ARE IN PLACE TO ENSURE FULL DISCLOSURE OF THE RELATIONSHIP BETWEEN YOUR MORTGAGE COMPANY AND YOUR TITLE ENTITY?

____

____

____

____

PLEASE ATTACH A COPY OF THIS DISCLOSURE INFORMATION TO THIS APPLICATION

14 DOES THE BORROWER HAVE A CHOICE OF TITLE AGENT?

☐ YES ☐ NO

15 WHAT PERCENTAGE OF YOUR MORTGAGE COMPANY'S BORROWERS USE YOUR TITLE AGENCY?

__________%

BANKERS INSURANCE SERVICE
Always A Leader

Social Engineering Fraud Questionnaire

*Social Engineering Fraud is intended to be a broad title which covers the various scenarios where an employee is deceived into transferring funds (or performing any other action which ultimately facilitates the transfer of funds) based on believing the sender of the request is a valid customer, client, vendor, counterparty or other member of staff. Such frauds are variously referred to as Social Engineering, Fake President, Business Email Compromise and CEO Fraud.

SOCIAL ENGINEERING FRAUD SUPPLEMENT

1. **What procedures do you have in place to authenticate the validity of:**

a. Requested changes to a third party vendor or customer bank account information held on record?

Vendor Management vets all third-party vendors and any bank account changes require independent verification via direct contact using previously validated information. Email requests alone are not accepted. Segregation of duties.

b. Customer/client instructions to direct funds to a third party bank account recipient?

All customer payment instructions are independently verified through direct contact with the customer using previously established communication channels. Funds are not released until verification is complete.

Is a "call-back" required? ☑ YES ☐ NO

If yes, is this to a previously established number (i.e. one on record for the vendor or customer and not the contact information contained in the communication requesting a change to account details or a transfer)? ☑ YES ☐ NO

2. **Are transfer requests or bank information changes ever accepted just via electronic communications?** ☐ YES ☑ NO

3. Is there any system in place to flag and seek additional sign off or confirmation for fund transfers in respect of those which are

Out of the country ☑ YES ☐ NO

Over a certain value ☐ YES ☑ NO

If yes, what value are transactions subject to such control: $______________

Unusual or Inconsistent with previous transfer funds behavior ☐ YES ☑ NO

4. How does the Assured check/audit that any required authentication process is happening in practice?

While there is no formal audit system in place, internal procedures require multiple levels of approval for fund transfers, which helps ensure adherence to authentication protocols. Outbound international wires are highly restricted

5. What procedures are place to validate the authenticity of what appear to be internally generated fund transfer requests?

All internal fund transfer requests require validation and dual approval. Unusual or out-of-pattern requests are escalated for additional confirmation before processing.

6. Would procedures set out in (5) above apply to requests purporting to have come from the 'Executive Management (CEO/CFO etc.)?

Yes

7. What education / awareness programs do you undertake to make employees aware of the risk of Social Engineering Fraud? Please provide brief details of the main areas of guidance given and those who received the training:

Mandatory security awareness training is provided at onboarding and annually, covering phishing, password security, MFA, clean desk policy, and social engineering risks

8. Are there any additional measures not outlined above which are used to manage risk in respect of Social Engineering Fraud? ☑ YES ☐ NO

If yes, please provide additional detail below:

Anti-phishing controls are active on all inbound emails, and data encryption is enforced for all external email communications company-wide.

8. Has your organization been the victim of a fraud where it has been deceived as to the identity of the person initiating a funds transfer request? ☑ YES ☐ NO

If yes, please provide additional detail below:

There have been minor incidents including fraudulent payroll change request & invoice payment where payment instruction procedures were not properly followed. Controls have since been reinforced to prevent reoccurence

10. Has your organization identified and prevented a fraud described above in the last 12 months? If yes, please provide details ☑ YES ☐ NO

If yes, please provide additional detail below:

Yes. We identified and prevented several phishing attempts involving fraudulent emails requesting fund transfers. These were detected through employee vigilance and email security controls.

IT IS AGREED THAT IN THE EVENT THERE IS ANY MATERIAL CHANGE IN THE ANSWERS TO THE QUESTIONS HEREIN PRIOR TO THE EFFECTIVE DATE OF THE POLICY, THE APPLICANT WILL NOTIFY THE UNDERWRITERS AND ANY OUTSTANDING QUOTATION MAY BE MODIFIED OR WITHDRAWN

THE UNDERSIGNED AUTHORIZED OFFICER OF THE APPLICANT WARRANTS, AFTER INQUIRY, THAT TO THE BEST OF HIS KNOWLEDGE THE STATEMENTS SET FORTH IN THIS SUPPLEMENTAL APPLICATION, AND THE MATERIALS SUBMITTED THEREWITH, ARE TRUE. IT IS AGREED THAT THIS SUPPLEMENTAL APPLICATION SHALL BECOME PART OF THE APPLICATION FORM. IT IS AGREED THAT THE APPLICATION FORM AND ALL MATERIALS SUBMITTED WITH THE APPLICATION FORM INCLUDING SUPPLEMENTAL APPLICATION(S) SHALL BE THE BASIS OF THE CONTRACT SHOULD A POLICY BE ISSUED AND THE APPLICATION FORM INCLUDING ALL ATTACHMENTS AND SUPPLEMENTAL APPLICATION(S) WILL BE ATTACHED TO AND MADE PART OF THE POLICY.

SIGNATURE

Chief Financial Officer

TITLE

(MUST BE SIGNED BY CHAIRMAN OF THE BOARD OR PRESIDENT)

Cardinal Financial Company, Limited Partnership

APPLICANT COMPANY NAME

05/22/2025

MONTH, DAY & YEAR SIGNED